

PRA Rulebook Glossary

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PRA Rulebook Glossary

138BA permission

means a permission granted by the PRA under section 138BA of the FSMA.

Effective: 01/01/2026

accepting deposits

means the regulated activity specified in article 5 of the Regulated Activities Order (Accepting deposits).

Effective: 01/02/2014

accounting principles

means in the case of a firm which is a company, the applicable accounting requirements for the company concerned specified in Part 15 of the Companies Act 2006 or in any provision made under that Act; an overseas firm, the accounting requirements as would be applicable if that firm was a company with its registered or head office in the UK; or any other firm, the applicable accounting requirements for the type of firm concerned as specified in any relevant legislation; and for this purpose 'accounting requirements' means accounting requirements for the purposes of external financial reporting and 'company' has the same meaning as in section 1(1) of the Companies Act 2006.

Effective: 22/12/2023

accounting reference date

(1) in relation to a company incorporated in the UK under the Companies Acts, means the accounting reference date of that company determined in accordance with section 391 of the Companies Act 2006; and (2) in relation to any other body, means the last day of its financial year.

Effective: 02/04/2015

Accounts Directives

means Council Directives 2013/34/EC, 91/674/EEC and 83/349/EEC.

Effective: 01/01/2016

Accounts Regulations

means the Friendly Society (Accounts and Related Provisions) Regulations 1994.

Effective: 01/01/2016

accumulating with-profits policies

means a with-profits policy which has a readily identifiable current benefit, whether or not this benefit is currently realisable, which is adjusted by an amount explicitly related to the amount of any premium payment and to which additional benefits are added in respect of participation in profits by additions directly related to the current benefit, or a policy with similar characteristics.

Effective: 01/01/2016

actuarial body

means the Institute and Faculty of Actuaries.

Effective: 19/06/2014

actuarial health insurance

means health insurance which meets all the conditions set out in Insurance Company - Capital Resources Requirements 13.1.

Effective: 01/01/2016

actuarial investigation

means an investigation to which Insurance Company - Reporting 5.8-5.12 applies.

Effective: 01/07/2016

actuarial valuation date

means the date as which the mathematical reserves are calculated.

Effective: 01/01/2016

actuary

means a fellow of an actuarial body or (in connection with general insurance business) a Fellow of the Casualty Actuarial Society who is a member of an actuarial body.

Effective: 19/06/2014

additional leverage ratio buffer

means the amount of common equity tier 1 capital as defined in Article 50 of the CRR as a firm or CRR consolidation entity must calculate in accordance with 4A.1 and 4A.2 of the Leverage Ratio - Capital Requirements and Buffers Part.

Effective: 31/03/2025

administering a benchmark

means the regulated activity specified in article 63S of the Regulated Activities Order.

Effective: 29/06/2018

admissible assets

(1) (in relation to an insurer which is not a pure reinsurer) has the meaning in Insurance Company - Capital Resources 13; or (2) (in relation to a pure reinsurer) means an asset the holding of which is consistent with compliance by the firm with Insurance Company - Risk Management 5.

Effective: 01/01/2016

admission to trading

means the process by which the exchange permits members of the exchange to enter into transactions in that investment under and subject to the rules of the exchange.

Effective: 01/01/2016

advising on investments

means the regulated activity, specified in article 53 of the Regulated Activities Order (Advising on investments).

Effective: 03/08/2015

advising on pension transfers and pension opt-outs

means advising on investments in respect of pension transfers and pension opt-outs.

Effective: 03/08/2015

affected market participant

has the meaning given in regulation 2(1) of The Insurers (Reorganisation and Winding Up) (Lloyd's) Regulations 2005 (2005/1998).

Effective: 19/09/2023

affiliated company

means (in relation to a person) an undertaking in the same group as that person.

Effective: 01/02/2014

aggregate maximum risk exposure

means the sum of the maximum payments, including expenses that the special purpose vehicle may incur, excluding expenses that meet all of the following criteria: (1) the special purpose vehicle has the right to require the undertaking which has transferred risks to the special purpose vehicle to pay the expense; and (2) the special purpose vehicle is not required to pay the expense unless and until an amount equal to the expense has been received from the undertaking which has transferred the risks to the special purpose vehicle.

Effective: 31/12/2024

agreeing to carry on a regulated activity

means the regulated activity, specified in article 64 of the Regulated Activities Order (Agreeing to carry on specified kinds of activity).

Effective: 03/08/2015

AIF

means an alternative investment fund.

Effective: 03/08/2015

AIFM

means an alternative investment fund manager.

Effective: 03/08/2015

AIFM investment management functions

means investment management functions of an AIFM as set out in 1(a) (portfolio management) or (b) (risk management) of Annex I to AIFMD.

Effective: 03/08/2015

AIFMD

means Directive 2011/61/EU of the European Parliament and of the Council of 8 June 2011 on Alternative Investment Fund Managers and amending Directives 2003/41/EC and 2009/65/EC and Regulations (EC) No 1060/2009 and (EU) No 1095/2010.

Effective: 03/08/2015

aircraft

means the class of contract of insurance, specified in paragraph 5 of Part I of Schedule 1 to the Regulated Activities Order.

Effective: 03/07/2015

aircraft liability

means the class of contract of insurance, specified in paragraph 11 of Part I of Schedule 1 to the Regulated Activities Order.

Effective: 03/07/2015

alternative investment fund

The changes to this defined term are effective from 23:00 on 31/12/2020. means a collective investment undertaking, including investment compartments thereof which: (1) raises capital from a number of investors, with the intention of investing it in accordance with a defined investment policy for the benefit of those investors; and (2) does not require authorisation pursuant to article 5 of the UCITS Directive.

Effective: 31/12/2020

alternative investment fund manager

The changes to this defined term are effective from 23:00 on 31/12/2020. means a legal person whose regular business is managing one or more alternative investment funds.

Effective: 31/12/2020

alternative valuation methods

means valuation methods that are consistent with the Valuation 2.1 and 2.2, other than those which solely use the quoted market prices for the same or similar assets or liabilities.

Effective: 31/12/2024

analogous non-reinsurance financing agreement

means analogous non-reinsurance financing agreements, including contingent loans, securitisations and any other arrangements in respect of contracts of insurance that are analogous to contracts of reinsurance in terms of the risks transferred and the finance provided.

Effective: 01/01/2016

ancillary activity

means an activity which is not a regulated activity but which is: (1) carried on in connection with a regulated activity; or (2) held out as being for the purposes of a regulated activity.

Effective: 19/06/2014

ancillary insurance services undertaking

(1) (in the Financial Conglomerates Part of the PRA Rulebook) has the meaning given in Financial Conglomerates 1.4; (2) (in relation to the Group Supervision Part of the PRA Rulebook) means, in relation to any undertaking in a group, an undertaking complying with the following conditions: (a) its principal activity consists of: (i) owning or managing property; (ii) managing data-processing services; (iii) providing health and care services; or (iv) any other similar activity; (b) the activity in (a) is ancillary to the principal activity of one or more insurance undertakings; and (c) those insurance undertakings are also members of that group.

Effective: 07/07/2023

ancillary own funds

(1) (in relation to a UK Solvency II firm and Lloyd's) has the meaning given in Own Funds 2.3 and are determined in accordance with Own Funds 2.3 to 2.7; or (2) (in relation to an insurance holding company) means a own funds item referred to in Own Funds 2.3 and 2.4, determined in accordance with (1) as if it were a UK Solvency II firm. (3) [deleted] [Note: Art. 89 of the Solvency II Directive]

Effective: 31/12/2024

ancillary own funds permission

means the permission granted to a firm by the PRA pursuant to section 138BA of FSMA for the purpose of allowing the firm to take into account an item of ancillary own funds as part of its own funds.

Effective: 31/12/2024

ancillary service

The changes to this defined term are effective from 23:00 on 31/12/2020. means any of the services listed in Part 3A of Schedule 2 to the Regulated Activities Order.

Effective: 31/12/2020

ancillary services undertaking

means: (1) an undertaking, the principal activity of which consists of owning or managing property, managing data-processing services, or a similar activity which is ancillary to the principal activity of one or more credit institutions, investment firms or insurers; or (2) in the Solvency II Firms Sector, except in the Financial Conglomerates Part, a non-regulated undertaking, the principal activity of which consists of owning or managing property, managing

data-processing services, health and care services or any other similar activity which is ancillary to the principal activity of one or more insurers.

Effective: 31/12/2024

Annex II benchmark administrator

has the meaning given in the Glossary to the FCA Handbook.

Effective: 29/06/2018

annual report and accounts

means (1) (in relation to a company incorporated in the UK) an annual report and annual accounts as those terms are defined in section 471 of the Companies Act 2006 together with an auditor's report prepared in relation to those accounts under sections 495 to 497A of the same Act; (2) (in relation to any other body) any similar or analogous documents which it is required to prepare whether by its constitution or by the law under which it is established.

Effective: 03/08/2015

appointed representative

has the meaning given in s39(2) FSMA.

Effective: 02/04/2015

approved counterparty

means any of the following: (1) an approved credit institution; (2) a firm whose permission including dealing in investments as principal with respect to derivatives which are not listed; (3) a MiFID investment firm whose authorisation (as referred to in Article 5 of MiFID II) authorises it to carry on activities of the kind referred to in (2); or (4) in respect of a transaction involving a new issue of securities which are to be listed, the issuer or a MiFID investment firm acting on behalf of the issuer.

Effective: 03/01/2018

approved credit institution

The changes to this defined term are effective from 23:00 on 31/12/2020. means a credit institution recognised or permitted under the law of the UK to carry on any of the activities set out in Annex 1 to the CRD.

Effective: 31/12/2020

approved derivative

means a derivative in respect of which the conditions in Insurance Company - Risk Management 6.2 are met.

Effective: 01/01/2016

approved financial institution

The changes to this defined term are effective from 23:00 on 31/12/2020. means any of the following: (1) the European Central Bank; (2) the central bank of an EEA State; (3) the International Bank for Reconstruction and Development; (4) the European Bank for Reconstruction and Development; (5) the International Finance Corporation; (6) the International Monetary Fund; (7) the Inter-American Development Bank; (8) the African Development Bank; (9) the Asian Development Bank; (10) the Caribbean Development Bank; (11) the European Investment Bank; (12) the EU; (13) the European Atomic Energy Community; and (14) the Bank of England.

Effective: 31/12/2020

approved person

means a person in relation to whom the FCA or the PRA has given its approval under section 59 of FSMA (Approval for particular arrangements) for the performance of a controlled function.

Effective: 19/06/2014

approved quasi-derivative

means a quasi-derivative in respect of which the conditions in Insurance Company - Risk Management 6.2 are met.

Effective: 01/01/2016

approved reinsurance to close

means: (1) an insurance to close effected before 1 January 2005; or (2) an agreement under which members of a syndicate in one syndicate year ("the reinsured members") agree with the members of that syndicate in a later syndicate year or the members of one other syndicate ("the reinsuring members") that the reinsuring members will discharge, or procure the discharge of, or indemnify the reinsured members against, all known and unknown insurance business liabilities of the reinsured members arising out of the insurance business carried on by the reinsured members in that syndicate year that is: (a) effected after 1 January 2005; and (b) not a balance transfer between two syndicate years where the syndicate has only one member and the member is the same in each of those years; or (3) an agreement under which members of a syndicate in one syndicate year ("the reinsured members") agree with a subsidiary of the Society that that subsidiary will discharge, or procure the discharge of, or indemnify the reinsured members against, all known and unknown insurance business liabilities of the reinsured members arising out of the insurance business carried on by the reinsured members in that syndicate year ("the reinsured liabilities") and where: (a) that subsidiary is wholly owned by the Society and if from time to time the subsidiary has an asset or cash flow deficiency such that the subsidiary is unable to meet any of the liabilities which it has reinsured, the Society is legally obliged to pay to the subsidiary a sum equal to that deficiency; and (b) at the effective date of the agreement, the relevant syndicate year has been open for at least two years after the date at which it would normally have been closed in accordance with the policies and practices in relation to the syndicate concerned.

Effective: 01/01/2016

approved security

means any of the following: (1) any security issued or guaranteed by, or the repayment of the principal of which, or the

interest of which, is guaranteed by, and any loans to or deposits with, any government, public or local authority or national industry or undertaking, which belongs to an approved State; (2) any loan to, or deposit with, an approved financial institution; and (3) any debenture issued before 31 December 1994 by the Agricultural Mortgage Corporation Limited or the Scottish Agricultural Securities Corporation Limited.

Effective: 01/01/2016

approved State

The changes to this defined term are effective from 23:00 on 31/12/2020. means any of the following: (A1) the UK; (1) an EEA state; (2) the United States of America; (3) Canada; (4) Japan; or (5) Australia, other than when that country has rescheduled its external debt.

Effective: 31/12/2020

approved stock lending transaction

means a stock lending transaction in respect of which the conditions in Insurance Company - Risk Management 8.2 have been met.

Effective: 01/01/2016

arranging (bringing about) deals in investments

means the regulated activity specified in article 25(1) of the Regulated Activities Order.

Effective: 03/08/2015

arranging safeguarding and administration of assets

that part of safeguarding and administering investments which consists solely of arranging for one or more other persons to carry on both: (a) the safeguarding of assets belonging to another; and (b) the administration of those assets.

Effective: 03/08/2015

Article 109 undertaking

means a UK bank, a building society, a UK designated investment firm, a PRA approved parent holding company, a PRA designated parent holding company, a PRA approved intermediate holding company, a PRA designated intermediate holding company, or a PRA designated institution.

Effective: 29/12/2020

Article 18(5) relationship

means a relationship where undertakings are linked by participations or capital ties other than those referred to in

paragraphs (1) and (4) of Article 18 of the CRR.

Effective: 29/12/2020

Article 18(6) relationship

means a relationship of one of the following kinds: (1) where an institution exercises a significant influence over one or more institutions or financial institutions, but without holding a participation or other capital ties in these institutions; or (2) where two or more institutions or financial institutions are placed under single management other than pursuant to a contract or clauses of their memoranda or articles of association.

Effective: 01/01/2016

Article 18(8) relationship

means: a subsidiary (as defined in Article 4(1)(16) of the CRR) of the firm or an undertaking in which the firm holds a participation (as defined in Article 4(1)(35) of the CRR), other than an institution, financial institution or ancillary services undertaking (as defined in Article 4(1)(18) of the CRR), where all the following conditions are met: (1) the undertaking is not a UK Solvency II firm, a third country branch undertaking, an insurance holding company or an undertaking within Article 4(1)(27)(k) of the CRR; and (2) there is a substantial risk that the firm provides financial support to that subsidiary or undertaking in stressed conditions, in the absence of, or in excess of any contractual obligations to provide such support.

Effective: 01/01/2026

asset management company

The changes to this defined term are effective from 23:00 on 31/12/2020. means an undertaking with a Part 4A permission under Article 51ZA of the Regulated Activities Order (Managing a UCITS) or an undertaking, the registered office of which is outside the UK and which would require such permission if it had its registered office within the UK.

Effective: 31/12/2020

asset type

means a category of assets that have similar features and/or similar methodologies for the purposes of determining the credit rating or internal credit assessment for that type of asset.

Effective: 30/06/2024

assigned asset

means an asset contained in the relevant portfolio of assets, that falls within the scope of Matching Adjustment 4.4(1).

Effective: 30/06/2024

associate

means (in relation to a person("A")):(1) an affiliated company of A;(2) an appointed representative of A, or a tied agent of A, or of any affiliated company of A; and(3) any other whose business or domestic relationship with A or A's associate might reasonably be expected to give rise to a community of interest between them which may involve a conflict of interest in dealings with third parties.

Effective: 02/04/2015

audit committee

means a committee established in accordance with Audit Committee 2.1.

Effective: 01/01/2019

authorised contractual scheme

This term is defined externally, please refer to: s237(3) FSMA

Effective: 01/01/2016

authorised electronic money institution

has the meaning given in regulation 2(1) of the Electronic Money Regulations.

Effective: 12/03/2023

authorised payment institution

has the meaning given in regulation 2(1) of the Payment Services Regulations.

Effective: 12/03/2023

authorised person

This term is defined externally, please refer to: s417(1) FSMA

Effective: 02/04/2015

authorised UK representative

means (in relation to a firm) a person resident in the UK who is authorised to act generally, and to accept service of any document, on behalf of the firm.

Effective: 01/01/2016

authorised unit trust scheme

This term is defined externally, please refer to: s237(3) FSMA

Effective: 01/01/2016

bank

The changes to this defined term are effective from 23:00 on 31/12/2020. means a firm with a Part 4A permission to carry on the regulated activity of accepting deposits and is a credit institution, but is not a credit union, friendly society or a building society.

Effective: 31/12/2020

Bank of England

This term is defined externally, please refer to: Schedule 1 Interpretation Act 1978

Effective: 01/01/2014

banking and investment services conglomerate

means a financial conglomerate that is identified in paragraph 3.1 of Annex 2 (Capital Adequacy Calculations for Financial Conglomerates) of the Financial Conglomerates part of the PRA Rulebook as a 'banking and investment services conglomerate'.

Effective: 12/08/2022

basic own funds

(in the Solvency II Firms Sector of the PRA Rulebook): (1) (in relation to a UK Solvency II firm and Lloyd's), has the meaning given in Own Funds 2.2; or (2) (in relation to an insurance holding company) means a own funds item referred to in Own Funds 2.2, determined in accordance with (1) as if it were a UK Solvency II firm. (3) [deleted] [Note: Art. 88 of the Solvency II Directive]

Effective: 31/12/2024

basic relevant risk-free interest rate term structure

means the relevant risk-free interest rate term structure without: (1) a matching adjustment; (2) a volatility adjustment; or (3) a risk-free interest rate transitional measure.

Effective: 30/06/2024

basic SCR

means the component of the SCR, calculated in accordance with Solvency Capital Requirement - Standard Formula 3.

Effective: 31/12/2024

benchmarking activities

means the following activities: (1) the regulated activity of administering a benchmark; or (2) contribution of input data to a BMR benchmark administrator.

Effective: 29/06/2018

benchmarks regulation

means Regulation (EU) No. 2016/1011 of the European Parliament and of the Council of 8 June 2016 on indices used as benchmarks in financial instruments and financial contracts or to measure the performance of investment funds and amending Directives 2008/48/EC and 2014/17/EU and Regulation (EU) No 596/2014.

Effective: 29/06/2018

beneficiary

means any person who is entitled to a right under a contract of insurance. [Note: Recital 16 of the Solvency II Directive]

Effective: 01/01/2016

best estimate

means the best estimate of future cash-flows, calculated in accordance with Technical Provisions 3.

Effective: 01/01/2016

BFSA

means the Agreement between the United Kingdom of Great Britain and Northern Ireland and the Swiss Confederation on Mutual Recognition in Financial Services concluded on 21st December 2023 at Berne, also known as the Berne Financial Services Agreement.

Effective: 01/01/2026

BMR benchmark administrator

means a person who: (1) is an administrator within the meaning of article 3.1(6) of the benchmarks regulation; and (2) has been authorised or registered (whether in the UK or elsewhere) in accordance with article 34 of the benchmarks regulation.

Effective: 29/06/2018

body corporate

means any body corporate including a body corporate constituted under the law of a country or territory outside the UK.

Effective: 01/02/2014

branch

The changes to this defined term are effective from 23:00 on 31/12/2020. means (1) (in relation to a credit institution) a place of business which forms a legally dependent part of a credit institution and which carries out directly all or some of the transactions inherent in the business of credit institutions. (2) (in relation to an investment firm) a place of business which: (a) is not the firm's head office; (b) is part of the firm; (c) has no legal personality; and (d) provides investment services and/or activities; and (e) may also perform ancillary services for which the investment firm has permission under Part 4A of FSMA. (3) (in relation to an insurance undertaking) any permanent presence of the insurance undertaking in the UK which: (a) is managed by the insurance undertaking's own staff; or (b) is an agency of the insurance undertaking; or (c) is managed by a person who is independent of the insurance undertaking, but has permanent authority to act for the insurance undertaking as an agency would. (4) (in relation to an IDD insurance intermediary) a place of business which is a part of an IDD insurance intermediary, not being the principal place of business, which has no separate legal personality and which provides insurance distribution for which the IDD insurance intermediary has been registered. (5) (in relation to an IDD reinsurance intermediary) a place of business which is a part of an IDD reinsurance intermediary, not being the principal place of business, which has no separate legal personality and which provides reinsurance distribution for which the IDD reinsurance intermediary has been registered.

Effective: 31/12/2020

branch best estimate

means the best estimate of future cashflows of the insurance and reinsurance obligations assumed by a third country branch undertaking in the UK, calculated in accordance with Third Country Branches 6.1A and 6.1D.

Effective: 31/12/2024

brought forward amount

means an amount, as defined in Insurance Company - Capital Resources Requirements 10.1 to 10.3 in the Non-Solvency II Firms Sector, used in the calculation of the general insurance capital requirement.

Effective: 01/01/2016

BRRD

means Directive 2014/59/EU of the European Parliament and the Council of 15 May 2014 establishing a framework for the recovery and resolution of credit institutions and investment firms and amending Council Directive 82/891/EEC and Directives 2001/24/EC, 2002/47/EC, 2004/25/EC, 2005/56/EC, 2007/36/EC, 2011/35/EU, 2012/30/EU and 2013/36/EU, and Regulations (EU) No 1093/2010 and (EU) No 648/2012 of the European Parliament and of the Council.

Effective: 19/01/2015

BRRD undertaking

means a CRR firm or a qualifying parent undertaking of a CRR firm.

Effective: 19/01/2015

building society

has the meaning given in section 119 of the Building Societies Act 1986.

Effective: 01/01/2014

business day

means:(1) (in relation to anything done or to be done in (including to be submitted to a place in) any part of theUK) any day which is not a Saturday or Sunday, Christmas Day, Good Friday or a bank holiday in that part of theUK;(2) (in relation to anything done or to be done by reference to a market outside theUK) any day on which that market is normally open for business.

Effective: 19/06/2014

byelaw

means any byelaw, direction, regulation, or other instrument made using the powers of theCouncilunder section 6 of Lloyd's Act 1982 (including any regulation ratified by theCouncilby special resolution) and any condition or requirement made under any such byelaw, direction, regulation or other instrument.

Effective: 03/07/2015

capital add-on

means the amount by which theSCRof aUK Solvency II firm, or thegroup SCRof agroup(as appropriate), is increased by thePRAas a result of astandard formula significant risk profile deviation,internal model significant risk profile deviation,internal model residual deviation,significant system of governance deviation,significant deviation from relevant assumptionsor (if appropriate) a specific risk existing atgrouplevel.

Effective: 31/12/2024

capital redemption

means the class ofcontract of insurance, specified in paragraph VI of Part II of Schedule 1 to theRegulated Activities Order.

Effective: 01/01/2016

Capital Requirements Regulations

means the Capital Requirements Regulations 2013 (SI 2013/3115).

Effective: 19/06/2014

capital resources

means the firm's capital resources as calculated in accordance with Insurance Company - Capital Resources 2.1.

Effective: 01/01/2016

capital resources table

means the capital resources calculation table at Insurance Company - Capital Resources Table 2.1.

Effective: 01/01/2016

captive insurer

means a UK Solvency II firm owned by: (1) a financial undertaking other than a UK Solvency II firm; or (2) a group of UK Solvency II firms; or (3) a non-financial undertaking; the purpose of which is to provide insurance cover exclusively for the risks of the undertaking or undertakings to which it belongs, or of an undertaking, or undertakings, of the group of which that UK Solvency II firm is a member.

Effective: 31/12/2024

captive reinsurer

means a UK Solvency II firm that is a pure reinsurer owned by: (1) a financial undertaking other than a UK Solvency II firm; or (2) a group of UK Solvency II firms; or (3) a non-financial undertaking; the purpose of which is to provide reinsurance cover exclusively for the risks of the undertaking or undertakings to which it belongs or of an undertaking or undertakings of the group of which that pure reinsurer is a member.

Effective: 31/12/2024

carrying out contracts of insurance

means the regulated activity specified in article 10(2) of the Regulated Activities Order (Effecting and carrying out contracts of insurance).

Effective: 19/06/2014

cash-flows that are not fixed

means any cash-flows that are not fixed or that are capable of being changed by issuers of the assets or any third parties, but excluding any cash-flows that fall within the scope of regulation 4(9)(b) or (c) of the IRPR regulations.

Effective: 30/06/2024

central assets

means the Society's own assets that are available at its discretion to meet a member's liabilities in respect of insurance

business.

Effective: 01/01/2016

central bank

This term is defined externally, please refer to: Article 4(1)(46) CRR.

Effective: 01/01/2022

central bank claim

means a firm's exposures to a central bank that are denominated in the national currency of the central bank and represented by: (1) banknotes and coins constituting legal currency in the jurisdiction of the central bank; (2) reserves held by the firm at the central bank; (3) reserves held by or on behalf of the firm in an omnibus account at the central bank; or (4) any assets representing debt claims on the central bank with a maturity of no longer than three months.

Effective: 05/08/2024

central counterparty

This term is defined externally, please refer to: Article 4(1)(34) CRR

Effective: 01/01/2019

Central Fund

means the Central Fund established under Lloyd's Central Fund Byelaw (No 4 of 1986) and the New Central Fund established under Lloyd's New Central Fund Byelaw (No 23 of 1996).

Effective: 03/07/2015

central liabilities

means the liabilities of the Society, excluding any liabilities of members (unless the Society has exercised its discretion to meet such liabilities) or any other participant at Lloyd's other than the Society.

Effective: 01/01/2016

central requirement

means the calculation made by the Society pursuant to the requirements of Solvency Capital Requirement - General Provisions 7.3.

Effective: 01/01/2016

certificate

means a certificate issued under section 63F(1) of FSMA (Issuing of certificates).

Effective: 07/03/2016

certification employee

means an employee (within the meaning in section 63E(9) of FSMA (certification of employees by authorised persons)) of a firm who has a valid certificate issued by that firm.

Effective: 10/12/2018

certification function

The changes to this defined term are effective from 23:00 on 31/12/2020. means: (1) for a CRR firm, a credit union and a third country CRR firm in relation to the activities of its establishment in the UK or if it does not have an establishment in the UK its activities in the UK, has the meaning given in Certification 2.2-2.4; (2) for a UK Solvency II firm, the Society, a managing agent, a third country branch undertaking (other than a Swiss general insurer) and a UK ISPV has the meaning given in Insurance - Certification 2; (3) for a large non-directive insurer and a Swiss general insurer has the meaning given in Large Non-Solvency II Firms - Certification 2; and (4) for a small non-directive insurer has the meaning given in Non-solvency II Firms - Certification 2.

Effective: 31/12/2020

certification regime

means the requirements of the regulatory system which apply to authorised persons insofar as they relate to persons performing certification functions including those set out in Certification, Fitness and Propriety, Insurance - Certification, Insurance - Fitness and Propriety, Large Non-Solvency II Firms - Certification, Large Non-Solvency II Firms - Fitness and Propriety, Non-Solvency II Firms - Certification and Non-Solvency II Firms - Fitness and Propriety and the corresponding FCA requirements in SYSC 27 and FIT of the FCA Handbook.

Effective: 10/12/2018

Chair of Audit Committee function

has the meaning given in Senior Management Functions 4.4.

Effective: 10/12/2018

Chair of Remuneration Committee function

has the meaning given in Senior Management Functions 4.5.

Effective: 10/12/2018

Chair of Risk Committee function

has the meaning given in Senior Management Functions 4.3.

Effective: 10/12/2018

Chair of the Governing Body function

has the meaning given in Senior Management Functions 4.2.

Effective: 10/12/2018

Chief Risk function

has the meaning given in Senior Management Functions 3.4.

Effective: 01/01/2019

claims amount

means an amount, as defined in Insurance Company - Capital Resources Requirements 9.1 in the Non-Solvency II Firms Sector, used in the calculation of the general insurance capital requirement.

Effective: 01/01/2016

class

means (in relation to a contract of insurance) any class of contract of insurance listed in Schedule 1 to the Regulated Activities Order.

Effective: 01/01/2016

classification of own funds permission

means the permission granted to a firm by the PRA pursuant to section 138BA of FSMA for the purpose of allowing the firm to include in its Tier 1 own funds, Tier 2 own funds or Tier 3 own funds (as the case may be) any own funds item that is not included in the own funds lists.

Effective: 31/12/2024

clearing member

This term is defined externally, please refer to: Article 300(3) CRR

Effective: 01/01/2019

client

has the meaning given in the FCA Handbook other than for the purposes of the part of the FCA Handbook in Specialist sourcebooks that has the title Professional Firms.

Effective: 02/04/2015

close links

(in the Solvency II Firms Sector of the PRA Rulebook) means a situation in which two or more persons are linked by control or participation, or a situation in which two or more persons are permanently linked to one and the same person by a control relationship. [Note: Art. 13(17) of the Solvency II Directive]

Effective: 01/01/2016

collateral

means (1) (in relation to any transaction) a mortgage, charge, pledge or other security interest or, as the context may require, an asset that is subject to a mortgage, charge, pledge or other security interest; and (2) (in relation to a stock lending, repo or derivative transaction only): (a) a transfer of assets (other than by way of sale) subject to a right of the transferor to have transferred back to it the same, or equivalent, assets or, as the context may transferor; or (b) a letter of credit, where the assets are transferred, or the letter of credit is issued, to secure the performance of the obligations of one of the parties to that transaction.

Effective: 01/01/2016

collective investment scheme

This term is defined externally, please refer to: s235(1) FSMA

Effective: 01/01/2016

collective investment undertaking

means a UCITS or an alternative investment fund.

Effective: 31/12/2024

commodity future

has the meaning given in the PRA Handbook as at 31 July 2015.

Effective: 03/08/2015

commodity option

has the meaning given in the PRA Handbook as at 31 July 2015.

Effective: 03/08/2015

common management relationship

means:(1) (in theCRR firmsandNon-CRR firmsSectors) has the meaning given in Article 4(1) CRR;(2) (in theSolvency II firmsandNon-Solvency II firmsSectors) means a relationship between two or moreundertakingswhich satisfies the following conditions:(a) theundertakingsare not connected in the manner described in section 1162 of, and Schedule 7 to, the Companies Act 2006; and(b) either:(i) theundertakingsare managed on a unified basis pursuant to a contract with one of them, or provisions in theundertakings'respective memoranda or articles of association; or(ii) thegoverning bodiesof thoseundertakingsconsist, for the major part, of the same persons in office during the financial year in respect of which it is being decided whether such a relationship exists; and(3) (in theFinancial Conglomerates Part) has the meaning given in Article 4(1) CRR.

Effective: 31/12/2024

compensation funds

The changes to this defined term are effective from 23:00 on 31/12/2020.means anypolicyholdercompensation scheme in theUK.

Effective: 31/12/2020

compensation scheme

means the Financial Services Compensation Scheme established under section 213 ofFSMA.

Effective: 03/07/2015

competent authority

The changes to this defined term are effective from 23:00 on 31/12/2020.means:(1) thePRA, in respect ofPRA-authorised personswithin the meaning of section 2B(5) ofFSMA;(2) in relation to aMiFID investment firmthe authority designated beforeIP completion dayby theUKin accordance with Article 67 ofMiFID II;(3) theFCA, in respect of any otherperson.[Note: Art. 4(1)(26) ofMiFID II]

Effective: 31/12/2020

composite firm

means a firmthat carries on bothlong-term insurance businessandgeneral insurance business.

Effective: 01/01/2016

Conduct Rules non-executive director

means, in relation to a firm, a personwho:(1) is a member of the board of directors of thefirmor, if there is no such board, the equivalent body responsible for the management of thefirm;(2) is not anapproved personin relation to thefirm; and(3) does not perform an executive function in relation to thatfirm.

Effective: 03/07/2017

conduct standards

The changes to this defined term are effective from 23:00 on 31/12/2020. (1) for a UK Solvency II firm, the Society, a managing agent and a UK ISPV, means the standards of expected conduct specified in Insurance - Conduct Standards 3; (2) for a third country branch undertaking (other than a Swiss general insurer), means the standards of expected conduct specified in Insurance - Conduct Standards 3.1 to 3.3 and, taking account only of matters relevant to the operations of the third country branch, Insurance - Conduct Standards 3.4 to 3.8; (3) for a small non-directive insurer, means the standards of expected conduct specified in Non-Solvency II Firms - Conduct Standards 2; (4) for a large non-directive insurer, means the standards of expected conduct specified in Large Non-Solvency II Firms - Conduct Standards 3; and (5) for a Swiss general insurer, means the standards of expected conduct specified in Large Non-Solvency II Firms - Conduct Standards 3 taking account only of matters relevant to the operations of the third country branch.

Effective: 31/12/2020

consolidated basis

has the meaning given in point (48) of Article 4(1) of the CRR.

Effective: 12/08/2022

Consolidated Life Directive

means the Council Directive of 5 November 2002 on the taking-up and pursuit of the business of life assurance (No 2002/83/EC), which consolidates the provisions of the First Life Directive, the Second Life Directive and the Third Life Directive.

Effective: 19/06/2014

consolidated situation

This term is defined externally, please refer to: Article 4(1)(47) of Regulation (EU) No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012

Effective: 31/03/2022

consolidating supervisor

This defined term is effective from 23:00 on 31/12/2020. means the competent authority responsible for the exercise of supervision on a consolidated basis of: (1) a UK parent institution; or (2) an institution controlled by a UK parent financial holding company or UK parent mixed financial holding company.

Effective: 31/12/2020

consolidation group

means the undertakings that a firm is required to include in the scope of consolidation pursuant to Articles 18, 19 and 23 of the CRR and Groups 2.1-2.3.

Effective: 30/03/2018

contract for differences

means the investment specified in article 85 of the Regulated Activities Order.

Effective: 01/01/2016

contract of differences

means the investment specified in article 85 of the Regulated Activities Order.

Effective: 03/08/2015

contract of insurance

(in relation to a specified investment) the investment, specified in article 75 of the Regulated Activities Order (Contracts of insurance), which is rights under a contract of insurance in (2) below. (in relation to a contract) has the meaning given in Article 3(1) of the Regulated Activities Order.

Effective: 03/08/2015

contracts of general insurance

has the meaning given in article 3(1) of the Regulated Activities Order.

Effective: 19/06/2014

contracts of long-term insurance

has the meaning given in article 3(1) of the Regulated Activities Order.

Effective: 19/06/2014

contractually based investment

has the meaning provided in Article 3(1) of the Regulated Activities Order.

Effective: 03/08/2015

contribution of input data

has the meaning given in article 3.1(8) of the benchmarks regulation.

Effective: 29/06/2018

control

The changes to this defined term are effective from 23:00 on 31/12/2020. (in the Solvency II Firms Sector of the PRA Rulebook) means the relationship between a parent undertaking and a subsidiary undertaking where that relationship falls within (1) to (6) of the definition of parent undertaking, or a similar relationship between any person and an undertaking. [Note: Art. 13(18) of the Solvency II Directive]

Effective: 31/12/2020

controlled function

means a function, relating to the carrying on of a regulated activity by a firm, which is specified by either the FCA or the PRA, under section 59 of FSMA (Approval for particular arrangements).

Effective: 19/06/2014

conversion notification

means a notice required to be sent to the PRA under article 2(1) or 11(b) of the Transitional Order including any update to such a notice.

Effective: 10/12/2018

coordinator

The changes to this defined term are effective from 23:00 on 31/12/2020. has the meaning given in regulation 1(2) of The Financial Conglomerates Regulations.

Effective: 31/12/2020

core UK group

means all counterparties that: (a) are listed in a firm's core UK group permission; (b) in relation to a firm, satisfy the conditions in Article 113(6) of the CRR; and (c) in respect of which exposures are exempted, under Article 400(1)(f) of the CRR, from the application of Article 395(1) of the CRR.

Effective: 03/08/2015

core UK group permission

means a permission given by the PRA under Article 113(6) of the CRR.

Effective: 03/08/2015

Council

means the governing body of the Society constituted by section 3 of the Lloyd's Act 1982.

Effective: 19/06/2014

countercyclical leverage ratio buffer

means the amount of common equity tier 1 capital as defined in Article 50 of the CRR as a firm or CRR consolidation entity must calculate in accordance with 4.1 and 4.2 of the Leverage Ratio - Capital Requirements and Buffers Part.

Effective: 01/01/2022

counterparty

means in relation to an insurer: (1) any one individual; (2) any one unincorporated body of persons; (3) any one undertaking not being a member of a group; (4) any group undertaking excluding any undertakings within the group which are subsidiaries of the firm; or (5) any government of a State together with all the public bodies, local authorities or nationalised industries of that State, in which the firm has made investments or against whom it has rights whether under a contract entered into by the firm or otherwise.

Effective: 01/01/2016

covered bonds

The changes to this defined term are effective from 23:00 on 31/12/2020. means a debenture that is issued by a credit institution which: (1) has its head office in the UK; and (2) is subject by law to special official supervision designed to protect the holders of the debenture; in particular, sums deriving from the issue of the debenture must be invested in accordance with the law in assets which, during the whole period of validity of the debenture, are capable of covering claims attaching to the debenture and which, in the event of failure of the issuer, would be used on a priority basis for the reimbursement of the principal and payment of the accrued interest.

Effective: 31/12/2020

CR Requirement

means an amount of capital resources that a firm must hold as set out in Insurance Company - Capital Resources Requirements 4 and 5.

Effective: 01/01/2016

CRD

means Directive 2013/36/EU of the European Parliament and of the Council of 26 June 2013 on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms, amending Directive 2002/87/EC and repealing Directives 2006/48/EC and 2006/49/EC.

Effective: 01/01/2014

CRD credit institution

The changes to this defined term are effective from 23:00 on 31/12/2020. means a credit institution that has its registered office (or, if it has no registered office, its head office) in the UK, excluding an institution to which the CRD does not apply under Article 2 of the CRD.

Effective: 31/12/2020

credit institution

has the meaning given in point (1) of Article 4(1) of the CRR.

Effective: 12/08/2022

credit quality step

(in the Solvency II Firms Sector of the PRA Rulebook) means the credit quality steps 0 to 6 set out in Solvency Capital Requirement - Standard Formula 1D.

Effective: 01/01/2026

credit quality step pair

means a sequential pair of credit quality steps paired in the order in which they are set out in Solvency Capital Requirement - Standard Formula 1D.

Effective: 01/01/2026

credit rating

has the meaning given to that term in regulation 2(1) of the IRPR regulations.

Effective: 30/06/2024

credit rating agency

has the meaning given to that term in Regulation 2(1) of the IRPR regulations.

Effective: 30/06/2024

credit risk

The changes to this defined term are effective from 23:00 on 31/12/2020. means the risk of loss, or of adverse change, in the financial situation, resulting from fluctuations in the credit standing of issuers of securities, counterparties and any debtors to which a UK Solvency II firm is exposed, in the form of counterparty default risk, or spread risk, or market risk concentrations. [Note: Art. 13(32) of the Solvency II Directive]

Effective: 31/12/2020

credit union

means a credit union as defined by: (1) the Credit Unions Act 1979; or (2) the Credit Unions (Northern Ireland) Order 1985 which is an authorised person.

Effective: 06/09/2016

credit union non-executive director

means a non-executive director of a credit union who is not an approved person in relation to that credit union.

Effective: 07/03/2016

Credit Union Senior Manager function

has the meaning given in Senior Management Functions 6.2.

Effective: 07/03/2016

critical functions

has the meaning in section 3(1) and (2) of the Banking Act 2009.

Effective: 01/01/2023

critical services

means activities, functions or services performed for one or more business units of the firm or for the firm and another member of its group, whether by the firm itself, any other group member or a person outside the firm's group, the failure of which would lead to the collapse of or present a serious impediment to the performance of the firm's critical functions.

Effective: 01/01/2019

critical third party

means a person designated by the Treasury in regulations made under section 312L(1) of FSMA.

Effective: 01/01/2025

CRR

Regulation (EU) No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012.

Effective: 01/01/2014

CRR consolidation entity

means thePRA approved parent holding company, thePRA designated parent holding companyor thePRA designated institutionor where there is not one for the group concerned, theUK parent institutionfor that group.

Effective: 17/09/2021

CRR firm

means aUK bank, abuilding societyor aUK designated investment firm.

Effective: 01/01/2014

CRR permission

means a permission given to a firmby thePRAunder powers conferred on thePRAby theCRR.

Effective: 01/01/2016

CRR rules

has the same meaning as in section 144A ofFSMA.

Effective: 01/01/2022

CSD

has the meaning given in Article 2(1)(1) ofCSDR.

Effective: 08/12/2023

CSDR

means Regulation (EU) No 909/2014 of the European Parliament and of the Council of 23 July 2014 on improving securities settlement in the European Union and on central securities depositories and amending Directives 98/26/EC and 2014/65/EU and Regulation (EU) No 236/2012.

Effective: 08/12/2023

data element

means a discrete fact or individual piece of information relating to a particular field within adata item.

Effective: 01/10/2018

data item

means one or more related data elements that are: (1) grouped together into a prescribed format or grouped together and "no standard format" is specified; and (2) required to be submitted by a firm.

Effective: 01/01/2019

dealing

means dealing in investments as principal or dealing in investments as agent.

Effective: 01/01/2016

dealing in investments as agent

means the regulated activity, specified in article 21 of the Regulated Activities Order (Dealing in investments as agent).

Effective: 03/08/2015

dealing in investments as principal

means the regulated activity specified in Article 14 of the Regulated Activities Order (Dealing in investments as principal).

Effective: 19/06/2014

debenture

means the investment, specified in article 77 of the Regulated Activities Order.

Effective: 01/01/2016

debt

includes an obligation to pay a sum of money under a negotiable instrument.

Effective: 01/01/2016

debts due or to become due

includes any debts which would become due if the friendly society were to exercise any right to which it is entitled to require payment or repayments of the same.

Effective: 01/01/2016

default

has the meaning given to that term in Article 4(4) of Commission Implementing Regulation 2016/1799.

Effective: 30/06/2024

deferred acquisition costs

has the meaning in the insurance accounts rules.

Effective: 01/01/2016

deficit reduction amount

means in respect of a defined benefit occupational pension scheme, the sum, determined by a firm in conjunction with the defined benefit occupational pension scheme's actuaries or trustees (or both), of the additional funding (net of tax) that will be required to be paid into that scheme by the firm over the following five year period for the purpose of reducing the firm's defined benefit liability.

Effective: 01/01/2016

defined benefit asset

means the excess of the value of the assets in a defined benefit occupational pension scheme over the present value of the scheme liabilities, to the extent that a firm, as employer, in accordance with the accounting principles applicable to it, should recognise that excess as an asset in its balance sheet.

Effective: 01/01/2016

defined benefit liability

means the shortfall of the value of the assets in a defined-benefit occupational pension scheme below the present value of the scheme liabilities, to the extent that a firm, as employer, in accordance with the accounting principles applicable to it, should recognise that shortfall as a liability in its balance sheet.

Effective: 22/12/2023

defined benefit occupational pension scheme

means an occupational pension scheme which is not a defined contribution occupational pension scheme.

Effective: 01/01/2016

defined contribution occupational pension scheme

means an occupational pension scheme into which a firm, as employer, pays regular fixed contributions and will have no legal or constructive obligation to pay further contributions if the scheme does not have sufficient assets to pay all employee benefits relating to employee service in the current and prior periods.

Effective: 01/01/2016

deposit

means the investment, specified in article 74 and defined in articles 5(2) and 5(3) of the Regulated Activities Order.

Effective: 01/01/2016

deposit back arrangement

(in relation to any reinsurance contract) means an arrangement whereby an amount is deposited by the reinsurer with the cedant.

Effective: 01/01/2016

derivative

means a contract for differences, a future or an option.

Effective: 01/01/2016

designated additional information

means such information in such form as may be required pursuant to Article 4 of the Commission Delegated Regulation (EU) 2017/1943 of 14 July 2016 supplementing MiFID II of the European Parliament and of the Council with regard to regulatory technical standards on information and requirements for the authorisation of investment firms as amended from time to time.

Effective: 03/01/2018

designated investment

means a security or a contractually-based investment (other than a funeral plan contract and a right to or interest in a funeral plan contract), that is, any of the following investments, specified in Part III of the Regulated Activities Order (Specified Investments), and along-term care insurance contract which is a pure protection contract: (1) life policy (subset of article 75 (Contracts of insurance)); (2) share; (3) debenture (article 77); (4) alternative debenture (article 77A); (5) government and public security (article 78); (6) instruments giving entitlements to investments (article 79); (7) certificate representing certain securities (article 80); (8) unit in a collective investment scheme (article 81); (9) rights under a stakeholder pension scheme (article 82(1)); (10) rights under a personal pension scheme (article 82(2)); (11) Greenhouse gas allowances which are auctioned (article 82A), where they are a financial instrument; (12) option; for the purposes of the permission regime, this is sub-divided into: (a) option (excluding a commodity option and an option on a commodity future); (b) commodity option and option on a commodity future; (13) future; for the purposes of the permission regime, this is sub-divided into: (a) future (excluding a commodity future and a rolling spot forex contract); (b) commodity future; (c) rolling spot forex contract; (14) contract for differences; for the purposes of the permission regime, this is sub-divided into: (a) contract for differences (excluding a spread bet and a rolling spot forex contract); (b) spread bet; (c) rolling spot forex contract; (15) rights to or interests in investments in (1) to (14) (article 89) but not including rights to or interests in rights under a long-term care insurance contract which is a pure protection contract.

Effective: 03/08/2015

designated investment business

means any of the following activities, specified in Part II of the Regulated Activities Order (Specified Activities), which is carried on by way of business: (1) dealing in investments as principal, but disregarding the exclusion in article 15 (Absence of holding out etc); (2) dealing in investments as agent but only in relation to designated investments; (3) the regulated activity of bidding in emissions auctions (article 24A of the Regulated Activities Order) where it is carried on by a MiFID investment firm (other than a UCITS investment firm, as defined in the FCA Handbook) in relation to a financial instrument; (4) arranging (bringing about) deals in investments, but only in relation to designated investments; (5) making arrangements with a view to transactions in investments, but only in relation to designated investments; (6) operating a multilateral trading facility; (7) managing investments, but only if the assets consist of or include (or may consist of or include) designated investments; (8) assisting in the administration and performance of a contract of insurance, but only if the contract of insurance is a designated investment; (9) safeguarding and administering investments, but only if the assets consist of or include (or may consist of or include) designated investments; for the purposes of the permission regime, this is sub-divided into: (a) safeguarding and administration of assets (without arranging); (b) arranging safeguarding and administration of assets; (10) sending dematerialised instructions (article 45(1)); (11) causing dematerialised instructions to be sent (article 45(2)); (12) establishing, operating or winding up a stakeholder pension scheme; (13) establishing, operating or winding up a personal pension scheme; (14) providing basic advice on a stakeholder product (article 52B); (15) advising on investments, but only in relation to designated investments; for the purposes of the permission regime, this is sub-divided into: (a) advising on investments (except pension transfers and pension opt-outs); (b) advising on pension transfers and pension opt-outs; (16) agreeing to carry on a regulated activity in (1) to (11) and (15) (article 64); (17) managing a UCITS; (18) acting as trustee or depositary of a UCITS (article 51ZB); (19) managing an AIF; (20) acting as trustee or depositary of an AIF (article 51ZD); (21) establishing, operating or winding up a collective investment scheme.

Effective: 03/08/2015

designated investment firm

means an investment firm that has been designated by the PRA under Article 3 of Financial Services and Markets Act 2000 (PRA-regulated Activities) Order (S.I. 2013/556).

Effective: 05/09/2014

direct EU legislation

This defined term is effective from 23:00 on 31/12/2020. has the meaning given in section 3(2) of the European Union (Withdrawal) Act 2018.

Effective: 31/12/2020

director

means (in relation to any of the following (whether constituted in the UK or under the law of a country or territory outside it)): (a) an unincorporated association; (b) body corporate; any person appointed to direct its affairs, including a person who is a member of its governing body and (in accordance with section 417(1) of FSMA): (i) a person occupying in relation to it the position of a director (by whatever name called); and (ii) a person in accordance with whose directions or instructions (not being advice given in a professional capacity) the directors of that body are accustomed to act.

Effective: 01/02/2014

disciplinary action

has the meaning given in section 64C of FSMA.

Effective: 10/12/2018

diversification effects

means the reduction in the risk exposure of UK Solvency II firms and (as appropriate) groups related to the diversification of their business, resulting from the fact that the adverse outcome from one risk can be offset by a more favourable outcome from another risk, where those risks are not fully correlated. [Note: Art. 13(37) of the Solvency II Directive]

Effective: 31/12/2024

document

This term is defined externally, please refer to: section 417(1) of FSMA

Effective: 01/01/2025

domestic liquidity sub-group

means the firms supervised by the PRA for liquidity purposes as if they formed a single entity as a result of a permission granted to those firms under 2.2 of the Liquidity (CRR) Part of the PRA Rulebook.

Effective: 01/01/2022

dormant account fund operator

a person with a Part 4A permission for operating a dormant account fund.

Effective: 03/08/2015

earned premiums

means the premiums relating to the risk covered by a firm during a specified time period.

Effective: 31/12/2024

EBA

means the European Banking Authority.

Effective: 01/01/2014

EEA State

has the meaning given in the Interpretation Act 1978 and, where the context requires, includes references to Gibraltar as appropriate.

Effective: 01/10/2015

effecting contracts of insurance

means the regulated activity specified in article 10(1) of the Regulated Activities Order (Effecting and carrying out contracts of insurance).

Effective: 19/06/2014

EIOPA

means the European Insurance and Occupational Pensions Authority established in accordance with Regulation (EU) No. 1094/2010 of the European Parliament and of the Council of 24 November 2010.

Effective: 01/01/2016

Electronic Money Regulations

means the Electronic Money Regulations 2011 (SI 2011/99).

Effective: 12/03/2023

eligible counterparty

has the meaning given in the FCA Handbook as amended from time to time for the purposes other than for the purposes of the part of the FCA Handbook in High Level Standards that has the title Principles for Businesses.

Effective: 03/01/2018

eligible deposit

has the meaning given in Depositor Protection 2.

Effective: 03/02/2016

eligible liabilities instruments

has the same meaning as in paragraph 2.3 of the Bank of England's Statement of Policy entitled 'The Bank of England's approach to setting a minimum requirement for own funds and eligible liabilities (MREL)' published by the Bank of England on 15 July 2025.

Effective: 01/01/2026

eligible liabilities items

means MREL eligible liabilities as defined in paragraph 2.3 of the Bank of England's Statement of Policy entitled 'The Bank of England's approach to setting a minimum requirement for own funds and eligible liabilities (MREL)' published by the Bank of England on 15 July 2025.

Effective: 01/01/2026

eligible own funds

means: (1) as to compliance with a UK Solvency II firm's SCR, the aggregate of the firm's: (a) Tier 1 own funds; and (b) eligible Tier 2 own funds; and (c) eligible Tier 3 own funds; and (2) as to compliance with a UK Solvency II firm's MCR, the aggregate of the firm's: (a) Tier 1 own funds; and (b) eligible Tier 2 own funds; and (3) as to compliance by a composite firm with the notional life MCR, the aggregate of the firm's: (a) Tier 1 own funds; and (b) Tier 2 basic own funds that satisfy the limits in Own Funds 4.4A.2 and 4A.3, as if references to the MCR in those provisions were references to the notional life MCR; and (4) as to compliance by a composite firm with the notional non-life MCR, the aggregate of the firm's: (a) Tier 1 own funds; and (b) Tier 2 basic own funds that satisfy the limits in Own Funds 4.2, 4A.2 and 4A.3, as if references to the MCR in those provisions were references to the notional non-life MCR. (5) deleted [deleted]

Effective: 31/12/2024

eligible Tier 2 own funds

means: (1) as to compliance with a UK Solvency II firm's SCR, the UK Solvency II firm's Tier 2 own funds that satisfy the limits set out in Own Funds 4.1(1), 4A.1(1), 4A.1(3) and 4A.3; and (2) as to compliance with a UK Solvency II firm's MCR, the firm's Tier 2 basic own funds that satisfy the limits in Own Funds 4.2, 4A.2 and 4A.3.

Effective: 31/12/2024

eligible Tier 3 own funds

means, as to compliance with a UK Solvency II firm's SCR, the firm's Tier 3 own funds that satisfy the limits set out in Own Funds 4.1(2) and 4A.1(2).

Effective: 31/12/2024

employee

means an individual: (1) who is employed or appointed by a person in connection with that person's business, whether under a contract of service or for services or otherwise; or (2) whose services, under an arrangement between that person and a third party, are placed at the disposal and under the control of that person.

Effective: 19/06/2014

employers' liability

means a contract of insurance against risks of the persons insured incurring liabilities to their employees.

Effective: 01/01/2016

equity share capital

means issued share capital excluding any part of that capital which, neither as respects dividends nor as respects capital, carries any right to participate beyond a specified amount in a distribution.

Effective: 01/01/2016

equivalent securities

means securities issued by the same issuer being of an identical type and having the same nominal value, description and amount.

Effective: 01/01/2016

established surplus

means an excess of assets representing the whole or a particular part of the long-term insurance fund or funds over the liabilities, or a particular part of the liabilities of the insurer attributable to that business as shown by an actuarial investigation.

Effective: 01/01/2016

establishing, operating or winding up a personal pension scheme

means the regulated activity, specified in article 52(b) of the Regulated Activities Order (Establishing etc. a pension scheme).

Effective: 03/08/2015

establishing, operating or winding up a stakeholder pension scheme

means the regulated activity, specified in article 52 (a) of the Regulated Activities Order (Establishing etc. a pension scheme).

Effective: 03/08/2015

establishing, operating or winding-up a collective investment scheme

means the regulated activity specified in article 51ZE of the Regulated Activities Order (Establishing etc a collective investment scheme).

Effective: 03/08/2015

EU

has the meaning given in Schedule 1 to the Interpretation Act 1978.

Effective: 01/12/2025

EU directive

This defined term is effective from 23:00 on 31/12/2020. has the meaning given in section 20(1) of the European Union (Withdrawal) Act 2018.

Effective: 31/12/2020

EU-derived domestic legislation

This defined term is effective from 23:00 on 31/12/2020. has the meaning given in section 2(2) of the European Union (Withdrawal) Act 2018.

Effective: 31/12/2020

European Economic Area

means the area established by the Agreement on the European Economic Area signed at Oporto on 2 May 1992, as it has effect for the time being and which consists of the EEA States.

Effective: 02/04/2015

exceptional adverse situation

means situations where the financial situation of a firm representing a significant share of the market or the affected lines of business is seriously or adversely affected by one or more of the following: (1) a fall in financial markets which is unforeseen, sharp and steep; (2) a persistent low interest rate environment; (3) a high impact catastrophic event.

Effective: 01/01/2016

Excluded Activities and Prohibitions Order

means the Financial Services and Markets Act 2000 (Excluded Activities and Prohibitions) Order 2014 (SI 2014/2080).

Effective: 01/01/2019

excluded assets

means, in relation to a with-profits fund, those assets which the firm has clearly identified in its policy documentation, PPFM, other policyholder communication or otherwise in accordance with any relevant provision of the FCA Handbook as: (1) available to cover the firm's liabilities arising from with-profits policies only in particular circumstances; and (2) not forming part of that with-profits fund.

Effective: 01/01/2016

excluded entity

means:(1) aUK Solvency II firm;(2) a third country insurance undertaking;(3) an insurance holding company;(4) a credit institution;(5) a designated investment firm;(6) a non-directive firm; and(7) where the firm is part of a consolidation group, an undertaking included within the scope of the firm's prudential consolidation on a full consolidation basis.

Effective: 01/01/2026

expense risk

means the risk of loss, or of adverse change, in the value of insurance obligations, resulting from changes in the level, trend or volatility of the expenses incurred in servicing contracts of insurance or reinsurance contracts.

Effective: 30/06/2024

explicit maximum loss potential

means the maximum economic risk transferred by the ceding undertaking to the reinsurer under an insurance contract.

Effective: 31/12/2024

external credit assessment institution

means a credit rating agency, or a central bank issuing credit ratings which is exempt from the application of Regulation (EC) No 1060/2009 and which is included in a list of exempt central banks published by Treasury on its website.

Effective: 31/12/2024

FCA

This term is defined externally, please refer to: FSMA s417

Effective: 29/04/2014

FCA activities

means a function which would, except for SUP 10C.9.8R or SUP TP 11.2.11R of the FCA Handbook, be an FCA governing function.

Effective: 10/12/2018

FCA activities notification

means:(1) in respect of a PRA senior management approval application that was made prior to 10 December 2018, the notification required by SUP 10A.11.12R(4) of the FCA Handbook;(2) in respect of a PRA senior management approval application made on or after 10 December 2018, the notification required by SUP 10C.9.8R(4) of the FCA Handbook.

Effective: 10/12/2018

FCA approval

means at any time an approval granted to and in effect for a person by the FCA under section 59 of FSMA (Approval for particular arrangements) for the performance of a controlled function specified by the FCA.

Effective: 07/03/2016

FCA controlled function

means a controlled function specified by the FCA under section 59 of FSMA.

Effective: 07/03/2016

FCA governing function

means any of the FCA controlled functions labelled as FCA governing functions in the table of FCA-designated senior management functions in SUP 10C.4.3R of the FCA Handbook.

Effective: 10/12/2018

FCA Handbook

means the FCA's Handbook of rules and guidance as amended from time to time.

Effective: 02/04/2015

FCA responsibilities

means any of: (1) the responsibilities set out in SYSC 24.2.6R (Table of FCA-prescribed senior management responsibilities) of the FCA Handbook; and (2) the responsibilities allocated under SYSC 26.3 of the FCA Handbook; (3) Deleted. [Deleted.]

Effective: 10/12/2018

FCA-authorised person

means (in accordance with section 31 of FSMA (Authorised persons)) an authorised person who is not a PRA-authorised person.

Effective: 07/03/2016

FCA-designated senior management function

means an FCA controlled function specified in SUP 10C.4.3R of the FCA Handbook.

Effective: 07/03/2016

final bonus

(in relation to with-profits policy) means a discretionary payment which might be made by a long-term insurer, in addition to the guaranteed benefits, when the benefits under the with-profits policy become payable.

Effective: 01/01/2016

finance scheme

means the finance scheme required to be provided by a UK Solvency II firm to the PRA under undertakings in Difficulty 4.1(2).

Effective: 01/01/2016

financial conglomerate

has the meaning given in Financial Conglomerates 2.1.

Effective: 01/01/2016

Financial Conglomerates Regulations

This defined term is effective from 23:00 on 31/12/2020. means the Financial Conglomerates and Other Financial Groups Regulations 2004 (SI 2004/1862).

Effective: 31/12/2020

Financial Groups Directive

means Directive 2002/87/EC of the European Parliament and of the Council of 16 December 2002 on the supplementary supervision of credit institutions, insurance undertakings and investment firms in a financial conglomerate.

Effective: 03/08/2015

financial holding company

has the meaning given in point (20) of Article 4(1) of the CRR.

Effective: 12/08/2022

financial institution

has the meaning given in point (26) of Article 4(1) of the CRR.

Effective: 12/08/2022

financial instruments

The changes to this defined term are effective from 23:00 on 31/12/2020. means those instruments specified in Part 1 of Schedule 2 to the Regulated Activities Order, read with Part 2 of that Schedule.

Effective: 31/12/2020

financial year

means the period at the end of which the balance of the accounts of the insurer is struck, or, if no balance is struck, the calendar year.

Effective: 01/01/2016

finite reinsurance

means reinsurance: (1) under which the explicit maximum loss potential arising from a significant transfer of both underwriting risk and timing risk exceeds the premium payable by the ceding undertaking over the duration of the contract by a limited but significant amount; and (2) which possesses at least one of the following characteristics: (a) explicit and material consideration of the time value of money; (b) contractual provisions to moderate the balance of economic experience between the parties to the reinsurance over time to achieve the target risk transfer.

Effective: 31/12/2024

FINREP firm

means: (1) a credit institution or investment firm subject to the CRR that is also subject to section 403(1) of the Companies Act 2006; or (2) a credit institution other than one which is subject to section 403(1) of the Companies Act 2006 that prepares its consolidated accounts in conformity with UK-adopted international accounting standards.

Effective: 31/12/2025

firm

(except in the Critical Third Parties Part of the PRA Rulebook) means a PRA-authorised person within the meaning of section 2B(5) of FSMA. (in the Critical Third Parties Part of the PRA Rulebook) means: (1) an authorised person; (2) a relevant service provider; or (3) an FMI entity.

Effective: 01/01/2025

First Life Directive

means the Council Directive of 5 March 1979 on the coordination of laws, regulations and administrative provisions relating to the taking up and pursuit of the business of direct life assurance (No 79/267/EEC).

Effective: 19/06/2014

First Non-Life Directive

the Council Directive of 24 July 1973 on the coordination of laws, regulations and administrative provisions relating to the taking up and pursuit of the business of direct insurance other than life insurance (No 73/239/EEC).

Effective: 19/06/2014

fixed interest securities

means securities which under their terms of issue provide for fixed amounts of interest.

Effective: 01/01/2016

flat rate benefits business friendly society

means a friendly society whose insurance business is restricted to the provision of benefits which vary according to the resources available and in which the contributions of members are determined on a flat rate basis.

Effective: 01/01/2016

FMI entity

This term is defined externally, please refer to: section 312L(8) of FSMA

Effective: 01/01/2025

former member

means a person who has ceased to be a member, whether by resignation or otherwise, in accordance with Lloyd's Act 1982 and any byelaw made under it.

Effective: 03/07/2015

friendly society

This term is defined externally, please refer to: s417(1) FSMA

Effective: 01/01/2016

FSCS

means the body corporate established under section 212 of FSMA to administer the compensation scheme.

Effective: 03/07/2015

FSMA

means the Financial Services and Markets Act 2000.

Effective: 01/01/2014

full scope regulatory reference firm

means:(1) aCRR firm,(2) a credit union,(3) a third country CRR firm in relation to the activities of its establishment in the UK,(4) a UK Solvency II firm,(5) the Society,(6) a managing agent,(7) a third country branch undertaking (other than a Swiss general insurer) in relation to the activities of its establishment in the UK,(8) a UK ISPV,(9) a large non-directive insurer,(10) a small non-directive insurer.

Effective: 10/12/2018

function

means, within a system of governance, an internal capacity to undertake practical tasks.[Note: Art. 13(29) of the Solvency II Directive]

Effective: 01/01/2016

Fundamental Rules

means the rules set out in Fundamental Rules 2.

Effective: 01/10/2015

funds at Lloyd's

means the assets (not being syndicate assets) provided by or on behalf of a member to meet the liabilities arising from the member's insurance business at Lloyd's which are held in a Lloyd's trust fund and managed by the Society as trustee.

Effective: 01/01/2016

funeral plan contract

means the investment specified in articles 59(2), 60 and 87 of the Regulated Activities Order.

Effective: 03/08/2015

future

means the investment specified in article 84 of the Regulated Activities Order.

Effective: 01/01/2016

future discretionary benefits

means future benefits of contracts of insurance, other than linked benefits, which have one of the following characteristics: (1) they are legally or contractually based on one or more of the following results: (a) the performance of a specified contract or specified group of contracts or type of contract; (b) the realised or unrealised investment return on a specified pool of assets held by the firm; or (c) the profit or loss of the firm or fund corresponding to the contract of insurance; or (2) they are based on a declaration of the firm, and (in either case) the timing or the amount of the benefits is at the firm's full or partial discretion.

Effective: 31/12/2024

future policy-related liabilities

means, in relation to a with-profits fund, the aggregate of the following amounts (to the extent each constitutes a liability) less the aggregate of such amounts (to the extent each constitutes an asset): (1) planned deductions for the costs of guarantees, options, smoothing and provision of life cover and other benefits from the amount calculated in accordance with Surplus Funds 3.3 or, where a firm is required under Surplus Funds 3.2 to use the calculation method in Surplus Funds 3.4, in accordance with Surplus Funds 3.4; (2) planned deductions for other costs deemed chargeable to the amount calculated in accordance with Surplus Funds 3.3 or, where a firm is required under Surplus Funds 3.2 to use the calculation method in Surplus Funds 3.4, in accordance with Surplus Funds 3.4; (3) future costs of contractual guarantees (other than financial options); (4) future costs of financial options, including guaranteed annuity and cash options; (5) future costs or proceeds of smoothing; (6) future liabilities to repay financing costs of a with-profits fund where the firm expects to have to meet such liabilities; and (7) other future costs related to the provision of the benefits referred to in Surplus Funds 3.4 (4) (regardless of whether the firm is required to effect the calculation in Surplus Funds 3.4), but only to the extent that they are not already included in the amount calculated in accordance with Surplus Funds 3.3 or, if applicable, Surplus Funds 3.4.

Effective: 01/01/2016

G-SII

has the meaning given in point (133) of Article 4(1) of the CRR.

Effective: 12/08/2022

G-SII buffer

means the G-SII buffer that a person is required to calculate under a requirement imposed by the PRA under section 55 of the FSMA or a direction given by the PRA under section 192 of the FSMA.

Effective: 31/03/2025

GDPR

means Regulation (EU) 2016/679 of the European Parliament and of the Council of 27 April 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC.

Effective: 07/03/2019

general insurance and reinsurance obligations

means insurance and reinsurance obligations falling within lines of business 1 to 28.

Effective: 31/12/2024

general insurance business

the business of effecting contracts of insurance or carrying out contracts of insurance in each case in relation to contracts of general insurance only.

Effective: 19/06/2014

general insurance capital requirement

means the highest of the premiums amount, claims amount and brought forward amount as set out in Insurance Company - Capital Resources Requirements 7.1.

Effective: 01/01/2016

general insurance liabilities

means liabilities arising from general insurance business.

Effective: 01/01/2016

general insurer

means an insurer with permission to effect contracts of insurance or carry out contracts of insurance that are contracts of general insurance.

Effective: 01/01/2016

general liability

means the class of contract of insurance, specified in paragraph 13 of Part I of Schedule 1 to the Regulated Activities Order.

Effective: 01/01/2016

GENPRU

means the General Prudential sourcebook for Banks, Building Societies, Insurers and Investment Firms in the PRA Handbook as at 31 July 2015.

Effective: 03/08/2015

Gibraltarian insurance undertaking

means an undertaking which: (1) has its head office in Gibraltar; and (2) is authorised by the Gibraltar Financial Services Commission to effect or carry out contracts of insurance under paragraph 24 of Schedule 2 to the Financial Services Act 2019 of Gibraltar.

Effective: 31/12/2024

goods in transit

means the class of contract of insurance specified in paragraph 7 of Part I of Schedule 1 to the Regulated Activities Order.

Effective: 03/07/2015

governing body

means the board of directors, committee of management or other governing body of an unincorporated association or body corporate and includes, in relation to the Society, a committee to which the Council directly delegates authority to carry out the Society's regulatory functions.

Effective: 07/03/2016

gross earned premiums

means (in relation to a financial year) such proportion of gross written premiums as is attributable to risk borne by the firm during that financial year.

Effective: 01/01/2016

gross written premiums

means the amounts required by the insurance accounts rule to be shown in the profit and loss account of a firm: (1) (for general insurance business) at general business technical amount item I.1.(a); and (2) (for long-term insurance business) at long-term business technical account item II.1.(a).

Effective: 01/01/2016

group

(in the Solvency II Firms Sector of the PRA Rulebook) means a group of undertakings that: (1) consists of a participating undertaking, its subsidiary undertakings and the undertakings in which it holds a participation, as well as undertakings linked to each other by a common management relationship; or (2) consists of a mutual-type group. [Note: Art. 212(1)(c) of the Solvency II Directive]

Effective: 31/12/2020

group death in service dependants' annuity

means a contract of insurance covering a specified group of persons which provides benefits in the form of regular payments to nominated dependant(s) upon the death of a person in that group, to the extent of and in accordance with the terms of that contract of insurance.

Effective: 30/06/2024

group provider

in relation to a firm, means (1) a member of its group that provides critical services to it; or (2) the firm itself if one of its business units provides the critical services to it.

Effective: 01/01/2019

group recovery plan

means a group recovery plan drawn up by a BRRD undertaking in accordance with Recovery Plans 3.

Effective: 01/01/2019

group SCR

means the solvency capital requirement calculated at the level of the group, in accordance with Group Supervision 4 to 15.

Effective: 01/01/2016

group supervisor

means (in relation to a group) the authority designated as group supervisor in relation to that group, being the PRA or the Gibraltar Financial Services Commission, as the case may be.

Effective: 31/12/2024

guarantee fund

means the amount calculated in accordance with Friendly Society - Friendly Society Overall Resources and Guarantee Fund 5.

Effective: 01/01/2016

guidance

means guidance given by the PRA in the form of supervisory statements or otherwise.

Effective: 19/06/2014

Head of Internal Audit function

has the meaning given in Senior Management Functions 3.5.

Effective: 01/01/2019

Head of Third Country Branch function

has the meaning given in 6.2.

Effective: 07/03/2016

health catastrophe risk

means the risk of loss, or of adverse change, in the value of insurance obligations resulting from the significant uncertainty of pricing and provisioning assumptions related to outbreaks of major epidemics, as well as the unusual accumulation of risks under such extreme circumstances.

Effective: 31/12/2024

health insurance obligation

means an insurance obligation that covers one or both of the following: (1) the provision of medical treatment or care including preventive or curative medical treatment or care due to illness, accident, disability or infirmity, or financial compensation for such treatment or care; or (2) financial compensation arising from illness, accident, disability or infirmity.

Effective: 31/12/2024

health reinsurance obligation

means a reinsurance obligation which arises from accepted reinsurance covering health insurance obligations.

Effective: 31/12/2024

health revision risk

means the risk of loss, or of adverse change, in the value of insurance obligations, resulting from changes in the level, trend or volatility of the revision rates applied to annuities, due to changes in inflation, the legal environment or in the state of health of the person insured.

Effective: 30/06/2024

Holloway sickness policy

means a contract of long-term insurance offered or effected by a friendly society under the Holloway system, providing permanent health benefits and, in addition, investment benefits, where the investment benefits: (1) are derived from

surpluses accrued by the friendly society and apportioned to policyholders; and (2) are payable to policyholders at maturity, on retirement, on death, or as otherwise specified by contractual provisions or individual society rules.

Effective: 01/01/2016

ICAAP assessment

means a firm's written record of the assessments required under the Internal Capital Adequacy Assessment Part.

Effective: 01/01/2026

ICAAP rules

means the rules in Chapter 3 (Strategies, processes and systems), Chapter 12 (Stress test and scenario analysis) and Chapter 13 (Documentation or risk assessments) of the Internal Capital Adequacy Assessment Part.

Effective: 01/01/2019

ICVC

means a body incorporated under the Open-Ended Investment Companies Regulations 2001 (SI 2001/1228).

Effective: 03/07/2015

IDD insurance intermediary

has the meaning given in Article 2(1)(3) of the Insurance Distribution Directive.

Effective: 01/10/2018

IDD reinsurance intermediary

has the meaning given in Article 2(1)(5) of the Insurance Distribution Directive.

Effective: 01/10/2018

IFRS firm

means a firm applying UK-adopted international accounting standards.

Effective: 31/12/2025

immaterial step-in entity

means a step-in entity which, when step-in risks are considered both individually and in combination with other similar entities, would not, given its size relative to the firm, materially impact the firm's liquidity or capital positions.

Effective: 01/01/2026

immediate group

This term is defined externally, please refer to: Section 421ZAFSMA

Effective: 08/12/2023

income protection insurance obligation

means an insurance obligation that covers the financial compensation referred to in (2) of the definition of health insurance obligation, other than the financial compensation referred to in (1) of the definition of health insurance obligation.

Effective: 31/12/2024

income protection policy

means a contract of insurance covering a person or specified group of persons that provides benefits in the form of regular payments to that person or those persons if they are unable, or have reduced capacity, to work because of illness or injury, to the extent of and in accordance with the terms of that contract of insurance.

Effective: 30/06/2024

income protection reinsurance obligation

means a reinsurance obligation which arises from accepted reinsurance covering income protection insurance obligations.

Effective: 31/12/2024

index-linked benefits

means benefits: (1) provided for under a linked long-term contract of insurance; and (2) determined by reference to an index of the value of property of any description (whether specified in the contract or not).

Effective: 01/01/2016

index-linked liabilities

means insurance liabilities in respect of index-linked benefits.

Effective: 01/01/2016

individual capital resources requirement

means: (1) in relation to an undertaking with a Part 4A permission, any capital requirement imposed by relevant provisions

in the PRA Rulebook or FCA Handbook; or (2) in relation to any other subsidiary the shares of which a firm elects to value in accordance with Insurance Company - Overall Resources and Valuation 8.1, zero.

Effective: 01/01/2016

individual conduct requirements

means: (1) the Individual Conduct Rules and Senior Manager Conduct Rules in Conduct Rules 2 and 3; (2) the Individual Conduct Standards and Senior Manager Conduct Standards in Insurance - Conduct Standards 3; (3) the Individual Conduct Standards and Senior Manager Conduct Standards in Large Non-Solvency II Firms - Conduct Standards 3; (3A) the Individual Conduct Standards in Non-Solvency II Firms - Conduct Standards 2.

Effective: 10/12/2018

individual member

includes a member which is a limited liability partnership or a body corporate whose members consist only of, or of the nominees for, a single natural person or a group of connected persons.

Effective: 03/07/2015

infrastructure assets

means physical assets, structures or facilities, systems and networks that provide or support essential public services.

Effective: 31/12/2024

infrastructure entity

means an entity or corporate group which, during the most recent financial year of that entity or group for which figures are available or in a financing proposal, derives the substantial majority of its revenues from owning, financing, developing or operating infrastructure assets.

Effective: 31/12/2024

initial margin

in respect of a derivative or a contract or asset having the effect of a derivative means assets which, before or at the time the contract is entered into, are transferred by the firm subject to a condition that such assets (or, where the assets transferred are securities, equivalent securities) will be returned to the firm on completion of that contract.

Effective: 01/01/2016

Institution

has the meaning given in point (3) of Article 4(1) of the CRR.

Effective: 12/08/2022

institution for occupational retirement provision

means an undertaking, irrespective of its legal form, operating on a funded basis, established separately from any sponsoring undertaking or trade for the purpose of providing retirement benefits in the context of an occupational activity on the basis of an agreement or a contract agreed: (1) individually or collectively between the employers and the employees or their respective representatives; or (2) with self-employed persons, in compliance with United Kingdom legislation; and which carries out activities directly arising therefrom.

Effective: 31/12/2024

institution-specific countercyclical capital buffer rate

has the meaning given in Capital Buffers 3.1(1A).

Effective: 14/12/2016

insurance accounts rules

means Schedule 1 to the Companies Act 1985 (Insurance Companies Accounts) Regulations 1993 (Form and Content of Accounts of Insurance Companies and Groups) where these provisions are applicable, otherwise Schedule 3 to the Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008 (SI 2008/410) (Insurance Companies: Companies Act Individual Accounts).

Effective: 01/01/2016

insurance business

means the regulated activities of effecting contracts of insurance or carrying out contracts of insurance.

Effective: 19/06/2014

insurance conglomerate

means a financial conglomerate that is identified in paragraph 3.1 of Annex 2 of the Financial Conglomerates Part as an insurance conglomerate.

Effective: 12/08/2022

insurance death risk capital component

means one of the components of the long-term insurance capital requirements as set out in Insurance Company - Capital Resources Requirements 15.2.

Effective: 01/01/2016

Insurance Directives

means the Consolidated Life Directive and the First Non-Life Directive, Second Non-Life Directive and Third Non-Life Directive.

Effective: 02/04/2015

insurance distribution

has the meaning given in Article 2(1)(1) of the Insurance Distribution Directive.

Effective: 01/10/2018

Insurance Distribution Directive

means the European Parliament and Council Directive of 20 January 2016 on insurance distribution (No 2016/97/EC).

Effective: 01/10/2018

insurance expense risk capital component

means one of the components of the long-term insurance capital requirements as set out in Insurance Company - Capital Resources Requirements 17.2.

Effective: 01/01/2016

Insurance Groups Directive

means Directive of the European Parliament and of the Council of 27 October 1998 on the supplementary supervision of insurance undertakings in an insurance group (1998/78/EC).

Effective: 19/06/2014

insurance health risk and life protection reinsurance capital component

means one of the components of the long-term insurance capital requirements as set out in Insurance Company - Capital Resources Requirements 16.1.

Effective: 01/01/2016

insurance holding company

means a parent undertaking, other than a UK Solvency II firm and a mixed financial holding company, the main business of which is to acquire and hold participations in subsidiary undertakings and which fulfils the following conditions: (1) its subsidiary undertakings are either exclusively or mainly UK Solvency II firms, third country insurance undertakings, third country reinsurance undertakings or ancillary insurance services undertakings: the subsidiary undertakings of a parent undertaking are mainly UK Solvency II firms, third country insurance undertakings, third country reinsurance

undertakings or ancillary insurance services undertakings where more than 50% of two or more of: (a) the parent undertaking's consolidated assets; (b) the parent undertaking's consolidated revenues; (c) the group SCR (as if calculated at the level of the parent undertaking), are derived from subsidiaries that are UK Solvency II firms, third country insurance undertakings, third country reinsurance undertakings or ancillary insurance services undertakings; and (2) at least one of those subsidiary undertakings is a UK Solvency II firm. [Note: Art. 212(1)(f) of the Solvency II Directive]

Effective: 07/07/2023

insurance liabilities

in respect of a friendly society, means amounts calculated in accordance with Friendly Society - Liability Valuation in respect of those items shown at C and D under the heading "Liabilities" in Part I of Schedule 2 to the Accounts Regulations.

Effective: 01/01/2016

insurance market activities

means a regulated activity relating to contracts of insurance written at Lloyd's.

Effective: 12/10/2016

insurance market risk capital component

means one of the components of the long-term insurance capital requirements as set out in Insurance Company - Capital Resources Requirements 18.1.

Effective: 01/01/2016

insurance risk transformation

means the regulated activity specified in Article 13A of the Regulated Activities Order (Transformer vehicles: insurance risk transformation).

Effective: 08/12/2017

insurance special purpose vehicle

The changes to this defined term are effective from 23:00 on 31/12/2020. means a UK ISPV.

Effective: 31/12/2020

insurance undertaking

means an undertaking or a member, that carries on insurance business, whether or not an insurer.

Effective: 08/12/2017

insurer

means a firm with permission to effect contracts of insurance or carry out contracts of insurance.

Effective: 08/12/2017

insurer under write-down

means an insurer other than a friendly society, in respect of which a write-down order has effect.

Effective: 19/09/2023

intermediary

means a person who in the course of any business or profession invites other persons to make offers or proposals or to take other steps with a view to entering into contracts of insurance with a friendly society, other than a person who only publishes such invitations on behalf of, or to the order of, some other person.

Effective: 01/01/2016

internal controls

means the whole system of controls, financial or otherwise, established by the management of a firm in order to: (1) carry on the business of the firm in an orderly and efficient manner; (2) ensure adherence to management policies; (3) safeguard the assets of the firm and other assets for which the firm is responsible; and (4) secure as far as possible the completeness and accuracy of the firm's records (including those necessary to ensure continuous compliance with the requirements or standards under the regulatory system relating to the adequacy of the firm's financial resources).

Effective: 19/06/2014

internal model

means the methodology used by a firm to calculate part or all of its SCR, or by a group to calculate part or all of its group SCR, in place of the standard formula.

Effective: 01/01/2016

internal model change policy

means the policy for making minor and major changes to an internal model that is (or is to be) covered by a firm's internal model permission.

Effective: 31/12/2024

internal model permission

means: (1) the permission granted to a firm by the PRA pursuant to section 138BA of FSMA for the purpose of using

an internal model to calculate part (partial internal model) or all of its SCR and making changes to that internal model; and (2) in relation to a UK Solvency II firm that is a member of a group, the permission granted to that firm by the PRA pursuant to section 138BA of FSMA for the purpose of using an internal model to calculate part (partial internal model) or all of its group SCR and making changes to that internal model.

Effective: 31/12/2024

internal model permission application

means an application by a firm for internal model permission.

Effective: 31/12/2024

internal model requirements

means Solvency Capital Requirement - Internal Models 10 to 16A.

Effective: 31/12/2024

internal model residual deviation

means a residual deviation, as determined by the PRA, in the risk profile of a UK Solvency II firm, or a group (as appropriate), from the assumptions underlying the SCR (or group SCR, as appropriate) in circumstances where the firm's SCR (or group SCR of the firm's group, as appropriate) is calculated using an internal model. For this purpose, assumptions include proposed assumptions in an internal model permission application.

Effective: 31/12/2024

internal model significant risk profile deviation

means the determination by the PRA of a significant deviation in the risk profile of a UK Solvency II firm, or a group (as appropriate), from the assumptions underlying the SCR (or group SCR, as appropriate) in circumstances where the firm's SCR (or the group's group SCR, as appropriate) is calculated using an internal model.

Effective: 01/01/2016

intra-group transaction

means: (1) all transactions by which regulated entities within a financial conglomerate rely directly or indirectly on other undertakings within the same group or on any natural or legal person linked to the undertakings within that group by close links, for the fulfilment of an obligation, whether or not contractual, and whether or not for payment; or (2) in the Reporting Part and in the Group Supervision Part means any transaction by which a Solvency II undertaking within a group relies directly or indirectly on any other undertaking within the same group or on any natural or legal person linked to an undertaking within that group by close links, for the fulfilment of an obligation, whether or not contractual, and whether or not for payment.

Effective: 31/12/2024

investment

means (in accordance with sections 22(4) of FSMA (Regulated activities) and section 93(2) of the Financial Services Act 2012) any investment, including any asset, right or interest.

Effective: 03/08/2015

investment firm

means any person whose regular occupation or business is the provision of one or more investment services to third parties and/or the performance of one or more investment activities on a professional basis.

Effective: 02/04/2015

investment holding company

has the meaning given in point (22A) of Article 4(1) of the CRR.

Effective: 12/08/2022

investment services and/or activities

The changes to this defined term are effective from 23:00 on 31/12/2020. means any of the services and activities listed in Part 3 of Schedule 2 to the Regulated Activities Order, insofar as they relate to any of the instruments listed in Part I of Schedule 2 to that Order.

Effective: 31/12/2020

IP completion day

This defined term is effective from 23:00 on 31/12/2020. has the meaning given in section 39(1) of the European Union (Withdrawal Agreement) Act 2020.

Effective: 31/12/2020

IRPR regulations

means the Insurance and Reinsurance Undertakings (Prudential Requirements) Regulations 2023 (2023/1347).

Effective: 30/06/2024

issuer

means: (1) (in relation to any security) (other than a unit in a collective investment scheme) the person by whom it is or is to be issued; (2) (in relation to a unit in a collective investment scheme) the operator of the collective investment scheme; (3) (in relation to an interest in a limited partnership except for a partnership scheme) the partnership; (4) (in relation to certificates representing certain securities) the person who issued or is to issue the security to which the certificate or

other instrument relates; or(5) an entity which issues transferable securities and, where appropriate, other financial instruments.

Effective: 01/01/2016

joint account

means an account opened in the name of two or more persons over which two or more persons have rights that are exercised by means of the signature of one or more of those persons.

Effective: 03/02/2016

jointly controlled body

means a body that friendly society has joint control of in accordance with section 13 of the Friendly Societies Act 1992.

Effective: 01/01/2016

key function

The changes to this defined term are effective from 23:00 on 31/12/2020. (1) in relation to a UK Solvency II firm, the Society, a managing agent, a UK ISPV and a large non-directive insurer means each of the following in relation to the carrying on of a regulated activity by the firm: (a) the risk-management function; (b) the compliance function; (c) the internal audit function; (d) the actuarial function; (e) the function of effectively running the firm; and (f) any other function which is of specific importance to the sound and prudent management of the firm; (2) in relation to a third country branch undertaking means, in relation to the carrying on of a regulated activity by the third country branch undertaking, each of the following functions performed in relation to the operations effected by the third country branch: (a) the risk-management function; (b) the compliance function; (c) the internal audit function; (d) the actuarial function; (e) the function of effectively running the operations effected by the third country branch; (f) the function of being the authorised UK representative; and (g) any other function which is of specific importance to the sound and prudent management of the third country branch; (3) in relation to a third country insurance service provider means, in relation to the carrying on of a regulated activity by the third country insurance services provider in the UK: (a) the risk-management function; (b) the compliance function; (c) the internal audit function; (d) the actuarial function; (e) the function of effectively running the operations effected by the third country insurance services provider; and (f) any other function which is of specific importance to the sound and prudent management of the third country insurance services provider.

Effective: 31/12/2020

key function holder

(1) means any person who is responsible for discharging a key function; (2) in the Regulatory Reporting Part, means an individual who has significant influence over the direction of the activities of the branch, but who is neither a member of the management body nor the CEO.

Effective: 29/12/2020

large firm

means: (1) a firm with a Part 4A permission to: (a) effect contracts of insurance; or (b) carry out contracts of insurance; (2) the Society; or (3) a managing agent in respect of which: (a) the amount of the firm's gross written premium exceeds £1 billion in each annual report and accounts prepared by the firm for each of the previous three financial years; or (b) the amount of the firm's assets relating to all regulated activities carried on by the firm exceeds £10 billion in each annual report and accounts prepared by the firm for each of the previous three financial years; and: (i) where the firm has not produced an annual report and accounts for three financial years, the amounts in (a) and (b) are the amounts reported by the firm in those annual report and accounts that have been published by the firm; and (ii) where the firm is a third country branch undertaking, the amounts in (a) and (b) are only those amounts relating to the operations effected by the third country branch.

Effective: 10/12/2018

large non-directive insurer

means a non-directive insurer in respect of which the value of assets relating to all regulated activities carried on by the firm as included in its two most recent reported annual accounts is more than £25,000,000.

Effective: 01/01/2016

leverage ratio

has the meaning given in Article 429(2) of Chapter 3 of the Leverage Ratio (CRR) Part.

Effective: 01/01/2022

liabilities to policyholders

means (in relation to a firm carrying out contracts of insurance) any liability or obligations of that firm to, or in respect of, a policyholder.

Effective: 01/01/2016

liability of ships

means the class of contract of insurance, specified in paragraph 12 of Part I of Schedule 1 to the Regulated Activities Order.

Effective: 03/07/2015

life revision risk

means the risk of loss, or of adverse change, in the value of insurance obligations, resulting from changes in the level, trend or volatility of the revision rates applied to annuities, due to changes in the legal environment or in the state of health of the person insured.

Effective: 30/06/2024

line of business

means a line of business as set out in Annex 1 to the Technical Provisions - Further Requirements Part.

Effective: 31/12/2024

linked benefit

means a benefit payable under a linked long-term contract of insurance or a regulated collective investment scheme the amount of which is determined by reference to: (1) the value of the property of any description (whether specified or not); (2) fluctuations in the value of any such property; (3) income from such property; or (4) fluctuations in an index of the value of such property.

Effective: 01/01/2016

linked long-term

means (in relation to a contract of insurance) a contract of long-term insurance where the benefits are wholly or partly to be determined by reference to the value of, or the income from, property of any description (whether or not specified in the contract) or by reference to fluctuations in, or in an index of, the value of property of any description (whether or not so specified).

Effective: 01/01/2016

linked long-term liabilities

means the insurance obligations in respect of linked benefits under a linked long-term contract of insurance.

Effective: 01/01/2016

listed

The changes to this defined term are effective from 23:00 on 31/12/2020. means: (1) included in the official list; or (2) in respect of which facilities for dealing on a regulated market have been granted.

Effective: 31/12/2020

listed activities

means an activity listed in Annex 1 to the CRD.

Effective: 23/10/2025

Lloyd's trust deed

means a trust deed in the form prescribed by the Society and notified to the PRA, for execution by a member in respect of his insurance business.

Effective: 01/01/2016

Lloyd's trust fund

means a fund held on the terms of a Lloyd's trust deed.

Effective: 01/01/2016

long-term care insurance contract

long-term insurance contract: (a) which provides, would provide at the policyholder's option, or is sold or held out as providing, benefits that are payable or provided if the policyholder's health deteriorates to the extent that he cannot live independently without assistance and that is not expected to change; and (b) under which the benefits are capable of being paid for periodically for all or part of the period that the policyholder cannot live without assistance; where 'benefits' are services, accommodation or goods necessary or desirable for the continuing care of the policyholder because he cannot live independently without assistance.

Effective: 03/08/2015

long-term insurance and reinsurance obligations

means insurance and reinsurance obligations falling within lines of business 29 to 36.

Effective: 31/12/2024

long-term insurance assets

has the meaning set out in Insurance Company - Internal Contagion Risk 4.2.

Effective: 01/01/2016

long-term insurance business

the business of effecting contracts of insurance or carrying out contracts of insurance in each case in relation to contracts of long-term insurance only.

Effective: 19/06/2014

long-term insurance business asset

in relation to a friendly society, means the assets of a firm which are, for the time being, identified as representing the long-term insurance business fund or funds maintained by that firm in respect of its long-term insurance business.

Effective: 01/01/2016

long-term insurance capital requirement

means the amount determined in accordance with Insurance Company - Capital Resources Requirement 14.1, being the sum of the insurance death risk capital component, the insurance health risk and life protection reinsurance capital component, the insurance expense risk capital component, the insurance market risk capital component and the resilience capital requirement.

Effective: 01/01/2016

long-term insurance contract

means a "contract of long-term insurance" as defined in Article 3(1) of the Regulated Activities Order.

Effective: 03/08/2015

long-term insurance fund

has the meaning set out in Insurance Company - Internal Contagion Risk 4.3.

Effective: 01/01/2016

long-term insurance liabilities

means liabilities arising from long-term insurance business.

Effective: 01/01/2016

long-term insurance obligations

means insurance obligations falling within lines of business 29 to 34.

Effective: 31/12/2024

long-term insurance or reinsurance obligations

means insurance or reinsurance obligations falling within lines of business 29 to 36.

Effective: 30/06/2024

long-term insurer

means an insurer with permission to effect contracts of insurance or carry out contracts of insurance that are contracts of long-term insurance.

Effective: 01/01/2016

longevity risk

means the risk of loss, or of adverse change, in the value of insurance obligations, resulting from changes in the level, trend or volatility of mortality rates, where a decrease in the mortality rate leads to an increase in the value of insurance obligations.

Effective: 30/06/2024

look-through approach

means the approach to calculating the SCR described in Solvency Capital Requirement - Standard Formula 2.3(1).

Effective: 31/12/2024

LREQ basis

means, in respect of an LREQ firm, the basis or bases of application on which the Leverage Ratio - Capital Requirements and Buffers Part applies to that LREQ firm.

Effective: 01/01/2022

LREQ firm

means a firm or CRR consolidation entity to which the Leverage Ratio - Capital Requirements and Buffers Part applies in accordance with rule 1.1 of that Part.

Effective: 01/01/2022

major business unit

means: (1) in relation to a firm, a defined segment of the firm that operates independently from other parts of the firm and has dedicated governance resources and procedures within the firm and which contains risks that are material in relation to the entire business of the firm; and (2) in relation to a group, a defined segment of the group that operates independently from other parts of the group and has dedicated governance resources and procedures within the group and which contains risks that are material in relation to the entire business of the group.

Effective: 31/12/2024

making arrangements with a view to transactions in investments

means the regulated activity, specified in article 25(2) of the Regulated Activities Order (Arranging deals in investments).

Effective: 03/08/2015

management body

means a firm's body or bodies, which are appointed in accordance with national law, which are empowered to set the firm's strategy, objectives and overall direction, and which oversee and monitor management decision-making, and include the persons who effectively direct the business of the firm.

Effective: 01/02/2014

management expenses

means all expenses, other than commission, incurred in the administration of a firm or its business.

Effective: 01/01/2016

management responsibilities map

has the meaning given in Allocation of Responsibilities 6.

Effective: 07/03/2016

managing a UCITS

means the regulated activity, specified in article 51ZA of the Regulated Activities Order (Managing a UCITS).

Effective: 03/08/2015

managing agent

has the meaning given in article 3(1) of the Regulated Activities Order.

Effective: 19/06/2014

managing an AIF

means the regulated activity, specified in article 51ZC of the Regulated Activities Order (Managing an AIF).

Effective: 03/08/2015

managing investments

means the regulated activity, specified in article 37 of the Regulated Activities Order (Managing investments).

Effective: 03/08/2015

mandatory disclosure

means an obligation in any applicable laws, regulations or rules to declare or disclose information to the public.

Effective: 07/03/2017

margin of solvency

means the excess of the value of the friendly society's assets over the amount of its liabilities, that value and amount being determined in accordance with Friendly Society - Asset Valuation, Friendly Society - Liability Valuation and Friendly Society - Overall Resources and Guarantee Fund 8.

Effective: 01/01/2016

market risk

(1) (except in the Solvency II Firms and Non-Solvency II Firms Sectors of the PRA Rulebook) means the risk that arises from fluctuations in values of, or income from assets, or in interest or exchange rates. (2) (in the Solvency II Firms and Non-Solvency II Firms Sectors of the PRA Rulebook) means the risk of loss or of adverse change in the financial situation resulting, directly or indirectly, from fluctuations in the level and in the volatility of market prices of assets, liabilities and financial instruments. [Note: Art. 13(31) of the Solvency II Directive]

Effective: 01/01/2016

market value

means the market value as determined in accordance with generally accepted accounting practice.

Effective: 01/01/2016

matching adjustment

means the adjustment to the relevant risk-free interest rate term structure to calculate the best estimate of a relevant portfolio of insurance or reinsurance obligations in accordance with: (1) the Matching Adjustment Part; and (2) deleted relevant technical information published by the PRA in accordance with regulation 3(1) of the IPRR regulations.

Effective: 30/06/2024

matching adjustment eligibility conditions

means: (1) the conditions contained in regulation 4(3) to (9) and (11) of the IPRR regulations; and (2) the conditions contained in 2.2 to 2.4 (inclusive) of the Matching Adjustment Part.

Effective: 30/06/2024

matching adjustment permission

means the permission granted to a firm by the PRA pursuant to section 138BA of FSMA to apply a matching adjustment for the purposes of calculating the best estimate in relation to a relevant portfolio of insurance or reinsurance obligations.

Effective: 30/06/2024

matching adjustment permission application

means an application by a firm for a matching adjustment permission.

Effective: 30/06/2024

matching adjustment portfolio

means arelevant portfolio of insurance or reinsurance obligationsand the correspondingrelevant portfolio of assets.

Effective: 30/06/2024

material outsourcing

meansoutsourcingservices of such importance that weakness, or failure, of the services would cast serious doubt upon thefirm'scontinuing satisfaction of thethreshold conditionsor compliance with theFundamental Rules.

Effective: 01/10/2015

material risk taker

means anemployee(within the meaning in section 63E(9) ofFSMA(certification of employees by authorised persons)) of a firmwhose professional activities have a material impact on thefirm'srisk profile.

Effective: 10/12/2018

material step-in entity

means astep-in entityother than animaterial step-in entity.

Effective: 01/01/2026

mathematical reserves

the provision made by aninsurerto cover liabilities (excluding liabilities which have fallen due and liabilities arising fromdeposit back arrangements) arising under or in connection withcontracts of long-term insurance.

Effective: 01/01/2016

MCR

means the minimum capital requirement (which is calibrated to the value-at-risk of a firm'sbasic own fundssubject to a confidence level of 85% over a one-year period) calculated in accordance with theMinimum Capital RequirementPart.

Effective: 31/12/2024

medical expense insurance obligation

means an insurance obligation that covers the provision or financial compensation referred to in (1) of the definition ofhealth insurance obligation.

Effective: 31/12/2024

medical expense reinsurance obligation

means areinsuranceobligation which arises from acceptedreinsurancecoveringmedical expense insurance obligations.

Effective: 31/12/2024

member

means apersonadmitted to membership of theSocietyor anypersonby law entitled or bound to administer its affairs.

Effective: 19/06/2014

method 1

means the method for calculating group solvency described inGroup Supervision 11.1.

Effective: 31/12/2024

method 2

means the method for calculating group solvency described inGroup Supervision 11.2.

Effective: 31/12/2024

MiFID business

meansinvestment services and activitiesand, where relevant,ancillary servicescarried on by aMiFID investment firm.

Effective: 02/04/2015

MiFID II

means Directive 2014/65/EU of the European Parliament and of the Council of 15 May 2014 on markets in financial instruments and amending Directive 2002/92/EC and Directive 2011/61/EU (recast).

Effective: 19/01/2015

MiFID investment firm

The changes to this defined term are effective from 23:00 on 31/12/2020.has the meaning given in paragraph 2.1A ofMiFIR.

Effective: 31/12/2020

MiFIR

means Regulation (EU) No 600/2014 of the European Parliament and of the Council of 15 May 2014 on markets in financial instruments and amending Regulation (EU) No 648/2012.

Effective: 19/01/2015

minimum guarantee fund

means an amount calculated in accordance with Friendly Society - Overall Resources and Guarantee Fund 6 for long-term insurance business and Friendly Society - Overall Resources and Guarantee Fund 7 for general insurance business, whether the required margin of solvency is greater or less than that amount.

Effective: 01/01/2016

mixed financial holding company

The changes to this defined term are effective from 23:00 on 31/12/2020. means a parent undertaking other than a regulated entity, which together with its subsidiaries, at least one of which is a regulated entity which has its head office in the UK, and other entities constitutes a financial conglomerate. [Note: Art. 212(1)(h) of the Solvency II Directive]

Effective: 31/12/2020

mixed-activity holding company

has the meaning given in point (22) of Article 4(1) of the CRR.

Effective: 12/08/2022

model limitation adjustment

means, in respect of a firm or group where part or all of its SCR (or group SCR, as appropriate) is calculated using an internal model, a capital adjustment calibrated and applied in the internal model which contributes to the calculation of its SCR (or group SCR, as appropriate), and that is intended to ensure that it complies with Solvency Capital Requirement - General Provisions 3.3 and 3.4, whether directly or by application of Group Supervision 11.2.

Effective: 31/12/2024

money

means any form of money, including cheques and other payable orders.

Effective: 01/01/2016

money-market instruments

means those classes of financial instruments which are normally dealt in on the money market, such as treasury bills,

certificates of deposit and commercial papers and excluding instruments of payment.[Note: article 4(1)(19) of MiFID]

Effective: 01/01/2016

month

This term is defined externally, please refer to: Schedule 1, Interpretation Act 1978

Effective: 01/01/2016

mortality risk

means the risk of loss, or of adverse change, in the value of insurance obligations, resulting from changes in the level, trend or volatility of mortality rates, where an increase in the mortality rate leads to an increase in the value of insurance obligations.

Effective: 30/06/2024

mortgage insurance

means credit insurance that provides cover to lenders in case their mortgage loans default.

Effective: 31/12/2024

motor vehicle liability

means the class of contract of insurance, specified in paragraph 10 of Part I of Schedule 1 to the Regulated Activities Order.

Effective: 01/01/2016

MTF

The changes to this defined term are effective from 23:00 on 31/12/2020. means a multilateral system, operated by an investment firm or a market operator, which brings together multiple third-party buying and selling interests in financial instruments - in the system and in accordance with non-discretionary rules - in a way that results in a contract in accordance with provisions implementing Title II of MiFID II.

Effective: 31/12/2020

mutual

means an insurer which: (1) if it is a body corporate has no share capital (except a wholly owned subsidiary with no share capital but limited by guarantee); or (2) is a friendly society; or (3) is a society registered or deemed to be registered under Co-operative and Community Benefit Societies Act 2014 or the Industrial and Provident Societies (Northern Ireland) Act 1969.

Effective: 01/10/2015

mutual society

This term is defined externally, please refer to: Section 138K(5) of the Financial Services and Markets Act 2000

Effective: 20/02/2026

mutual-type group

The changes to this defined term are effective from 23:00 on 31/12/2020. means a group of undertakings that is based on the establishment, contractually or otherwise, of strong and sustainable financial relationships among those undertakings, and that may include mutual or mutual-type associations, provided that: (1) one of those undertakings effectively exercises, through centralised coordination, a dominant influence over the decisions, including financial decisions, of the other undertakings that are part of the group of undertakings; and (2) the establishment and dissolution of such relationships are subject to prior approval by the PRA, where the undertaking exercising the centralised coordination shall be considered as the parent undertaking, and the other undertakings shall be considered as subsidiary undertakings. [Note: Art. 212(1)(c)(ii) of the Solvency II Directive]

Effective: 31/12/2020

net premium

means the premium that is calculated to provide the basic sum assured under a with-profits policy taking into consideration only the mortality and interest rate risks and using the same assumptions as used in the calculation of the mathematical reserves.

Effective: 01/01/2016

non-core large exposures group or NCLEG

has the meaning given in the Large Exposures Part.

Effective: 03/08/2015

non-directive firm

The changes to this defined term are effective from 23:00 on 31/12/2020. means (in accordance with the Financial Services and Markets Act 2000 (Controllers)(Exemption) Order 2009 (SI 2009/774)) a UK domestic firm other than: (1) a credit institution authorised under provisions which implemented the Banking Consolidation Directive; (2) an investment firm authorised under provisions which implemented MiFID II; (3) a management company as defined in article 2(1)(b) of the UCITS Directive, authorised under provisions which implemented that directive; (4) a UK Solvency II firm, the Society and managing agents.

Effective: 31/12/2020

non-directive friendly society

means a friendly society that is not a UK Solvency II firm.

Effective: 01/01/2016

non-directive insurer

The changes to this defined term are effective from 23:00 on 31/12/2020. means a firm with a Part 4A permission to effect contracts of insurance or carry out contracts of insurance, other than: (1) a UK Solvency II firm; (2) a third country branch undertaking; or (3) where the firm has the permission by reason only of the operation of the EEA Passport Rights (Amendment etc., and Transitional Provisions) (EU Exit) Regulations 2018.

Effective: 31/12/2020

non-executive director

means a director of a firm who does not perform an executive function in relation to that firm.

Effective: 07/03/2016

non-life catastrophe risk

means the risk of loss, or of adverse change in the value of insurance obligations, resulting from significant uncertainty of pricing and provisioning assumptions related to extreme or exceptional events.

Effective: 31/12/2024

non-life premium and reserve risk

means the risk of loss, or of adverse change in the value of insurance obligations, resulting from fluctuations in the timing, frequency and severity of insured events, and in the timing and amount of claim settlements.

Effective: 31/12/2024

non-profit insurance business

means the business of effecting contracts of insurance or carrying out contracts of insurance that are non-profit policies.

Effective: 01/01/2016

non-profit policy

means a contract of long-term insurance which is not a with-profits policy.

Effective: 01/01/2016

non-regulated undertaking

means any undertaking other than a regulated entity.

Effective: 31/12/2024

non-regulated undertaking carrying out financial activities

means a non-regulated undertaking which carries on one or more of the following: (1) any of the following activities: (a) taking deposits and other repayable funds; (b) lending including, inter alia: consumer credit, credit agreements relating to immovable property, factoring, with or without recourse, financing of commercial transactions (including forfeiting); (c) financial leasing; (d) payment services as defined in regulation 2 of the Payment Services Regulations 2017/752; (e) issuing and administering other means of payment (e.g. travellers' cheques and bankers' drafts) insofar as such activity is not covered by (d); (f) guarantees and commitments; (g) trading for own account or for account of customers in any of the following: (i) money market instruments (cheques, bills, certificates of deposit, etc.); (ii) foreign exchange; (iii) financial futures and options; (iv) exchange and interest-rate instruments; or (v) transferable securities; (h) participation in securities issues and the provision of services relating to such issues; (i) advice to undertakings on capital structure, industrial strategy and related questions and advice as well as services relating to mergers and the purchase of undertakings; (j) money broking; (k) portfolio management and advice; (l) safekeeping and administration of securities; (m) credit reference services; (n) safe custody services; and (o) issuing electronic money; and (2) any of the services and activities referred to in Part 3 and Part 3A of Schedule 2 to the Regulated Activities Order, as amended from time to time, when referring to the financial instruments set out in Part 1 of Schedule 2 to the Regulated Activities Order; where those activities constitute a significant part of its overall activity.

Effective: 31/12/2024

non-Solvency I firm

means a firm that immediately before the Solvency II implementation date fell outside the scope of each of the Solvency I Directives.

Effective: 01/01/2016

non-UCITS retail scheme

The changes to this defined term are effective from 23:00 on 31/12/2020. means an ICVC, authorised unit trust scheme, or an authorised contractual scheme which is not a collective investment scheme falling within provisions implementing the UCITS Directive or a qualified investor scheme.

Effective: 31/12/2020

non-UK credit institution

means a credit institution whose registered office or, if it does not have a registered office, whose head office, is outside the UK.

Effective: 08/12/2023

non-UK G-SII

has the meaning given in point (134) of Article 4(1) of the CRR.

Effective: 12/08/2022

notified non-executive director

means a non-executive director of a firm who is not an approved person in relation to that firm.

Effective: 07/03/2016

notional general insurance MCR

means the notional minimum capital requirement calculated in accordance with Composites 4.2(2) and 4A.

Effective: 31/12/2024

notional general insurance SCR

means the notional solvency capital requirement for general insurance business, calculated in accordance with Composites 4C.3.

Effective: 31/12/2024

notional long-term insurance MCR

means the notional minimum capital requirement for long-term insurance business calculated in accordance with Composites 4.2(1) and 4B.

Effective: 31/12/2024

notional long-term insurance SCR

means the notional solvency capital requirement for long-term insurance business, calculated in accordance with Composites 4C.4.

Effective: 31/12/2024

NSLT health

means health insurance business that is not SLT health.

Effective: 31/12/2024

NSLT health premium and reserve risk

means the risk of loss, or of adverse change in the value of insurance obligations, resulting from fluctuations in the

timing, frequency and severity of insured events, and in the timing and amount of claim settlements at the time of provisioning.

Effective: 31/12/2024

O-SII

means a person identified by the PRA in accordance with Part 3 of the Capital Buffers and Macro-prudential Measures Regulations 2025 (SI 2025/653).

Effective: 31/07/2025

O-SII buffer

means the O-SII buffer that a person is required to calculate under a requirement imposed by the PRA under section 55 of FSMA or a direction given by the PRA under section 192C of FSMA.

Effective: 31/03/2025

occupational pension scheme

has the meaning set out in article 3(1) of the Regulated Activities Order.

Effective: 01/01/2016

OECD

means the Organisation for Economic Cooperation and Development.

Effective: 31/12/2024

officer

means, in relation to a body corporate: (1) a director, member of the committee of management, chief executive, manager, secretary or other similar officer of the body, or a person purporting to act in any such capacity; and (2) an individual who is a controller of the body.

Effective: 19/06/2014

official list

The changes to this defined term are effective from 23:00 on 31/12/2020. means the list maintained by the FCA in accordance with section 74(1) of FSMA for the purposes of Part VI of FSMA.

Effective: 31/12/2020

offsetting transaction

means, in accordance with Insurance Company - Risk Management 7.8 and 7.9: (1) an approved derivative, approved stock lending transaction or an approved quasi-derivative; or (2) a covered transaction with an approved counterparty for the purchase of assets.

Effective: 01/01/2016

omnibus account

means an account at a central bank in which comingled funds can be held by, or on behalf of, more than one entity.

Effective: 05/08/2024

ONA system

means the PRA's online notification and applications system, by whatever name known.

Effective: 19/06/2014

operating a dormant account fund

means any of the regulated activities specified in: (1) article 63N(1)(a) of the Regulated Activities Order (meeting of repayment claims); or (2) article 63N(1)(b) of the Regulated Activities Order (managing dormant account funds (including the investment of such funds)).

Effective: 03/08/2015

operating a multilateral trading facility

means the regulated activity in article 25D of the Regulated Activities Order.

Effective: 03/08/2015

operational risk

(in the Solvency II Firms Sector of the PRA Rulebook) means the risk of loss arising from inadequate or failed internal processes, personnel or systems, or from external events, including legal risks which, for the purposes of Solvency Capital Requirement - General Provisions 3.3(1), includes legal risks but excludes risks arising from strategic decisions and reputational risks. (in the Non-Solvency II Firms Sector of the PRA Rulebook) means the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events, including legal risk. [Note: Art. 13(33) and Art. 101(4) of the Solvency II Directive]

Effective: 01/01/2016

Operator

in relation to a payment system has the same meaning as in Part 5 of the Banking Act 2009 (see section 183 of that Act).

Effective: 08/12/2023

Opt-in IFRS 9 firm

means a firm which is not an IFRS firm and which applies IFRS 9 in accordance with Financial Reporting Standard 101 (September 2015, ISBN 978-0-7545-5361-8) or 11.2(c) and 12.2(c) of Financial Reporting Standard 102 (September 2015, ISBN 978-0-7545-5362-5).

Effective: 31/12/2025

option

means the investment specified in article 83 of the Regulated Activities Order.

Effective: 01/01/2016

ORSA

means the own risk and solvency assessment carried out from time to time, as detailed in Conditions Governing Business 3.8 to 3.11.

Effective: 01/01/2016

OTC derivative

means a derivative traded solely over the counter.

Effective: 01/01/2016

OTF

This defined term is effective from 23:00 on 31/12/2020. means a multilateral system which is not a regulated market or an MTF and in which multiple third-party buying and selling interests in bonds, structured finance products, emission allowances or derivatives are able to interact in the system in a way that results in a contract in accordance with provisions implementing Title II of MiFID II.

Effective: 31/12/2020

outsourcing

means an arrangement of any form between a firm and a service provider, whether a supervised entity or not, by which that service provider performs a process, a service or an activity, whether directly or by sub-outsourcing, which would otherwise be undertaken by the firm itself.

Effective: 01/10/2015

overseas firm

means a firm which has its registered office (or, if it has no registered office, its head office) outside the UK.

Effective: 01/02/2014

overseas regulator

This defined term is effective from 23:00 on 31/12/2020. means a regulator outside the United Kingdom.

Effective: 31/12/2020

own funds

(in the Solvency II Firms Sector of the PRA Rulebook) means: (1) (in relation to a UK Solvency II firm and Lloyd's) the firm's aggregate basic own funds and ancillary own funds as determined in accordance with the Own Funds Part of the PRA Rulebook; or (2) (in relation to an insurance holding company) own funds determined in accordance with (1) as if it were a UK Solvency II firm. (3) [deleted] [Note: Art. 87 of the Solvency II Directive]

Effective: 31/12/2024

own funds lists

means the lists of Tier 1 own funds, Tier 2 own funds and Tier 3 own funds set out in Own Funds 3A, 3D, 3F, 3H, and 3J.

Effective: 31/12/2024

parent undertaking

(in the Solvency II Firms Sector of the PRA Rulebook) means an undertaking which has the following relationship to another undertaking ('S'): (1) it holds a majority of the voting rights in S; or (2) it is a member of S and has the right to appoint or remove a majority of its board of directors; or (3) it has the right to exercise a dominant influence over S through: (a) provisions contained in S's memorandum or articles; or (b) a control contract; or (4) it is a member of S and controls alone, under an agreement with other shareholders or members, a majority of the voting rights in S; or (5) (a) it has the power to exercise, or actually exercises, dominant influence or control over S; or (b) it and S are managed on a unified basis; or (6) it is a parent undertaking of a parent undertaking of S; or (7) where it effectively exercises a dominant influence over S; and: (8) in relation to (2) and (4), the undertaking will be treated as a member of S if any of its subsidiary undertakings is a member of S, or if any shares in S are held by a person acting on behalf of the undertaking or any of its subsidiary undertakings; (9) the provisions of Schedule 7 to the Companies Act 2006 (Parent and subsidiary undertakings: supplementary provisions) explain the expressions used in and supplement paragraphs (1) to (6). [Note: Art. 212(2) of the Solvency II Directive]

Effective: 01/01/2026

Part 4A permission

means a permission given by the FCA or PRA under Part 4A of FSMA (Permission to carry on regulated activities), or

having effect as if so given.

Effective: 01/02/2014

partial internal model

means an internal model that is: (1) used to calculate one or more of the following: (a) one or more risk modules, or sub-modules, of the basic SCR; (b) the capital requirement for operational risk set out in Solvency Capital Requirement - Standard Formula 5; (c) the adjustment for the loss-absorbing capacity of technical provisions and deferred taxes set out in Solvency Capital Requirement - Standard Formula 6; or (2) applied to the whole of a firm's insurance business, or only to one or more major business units. [Note: Art. 112(2) of the Solvency II Directive]

Effective: 31/12/2024

participating UK Solvency II firm

This defined term is effective from 23:00 on 31/12/2020. means a UK Solvency II firm that holds a participation in another undertaking.

Effective: 31/12/2020

participating undertaking

The changes to this defined term are effective from 23:00 on 31/12/2020. means an undertaking that holds a participation in another undertaking or an undertaking linked with another undertaking by a common management relationship. [Note: Art. 212(1)(a) of the Solvency II Directive]

Effective: 31/12/2020

participation

(in the Solvency II Firms Sector of the PRA Rulebook) means: (1) the ownership, direct or by way of control, of 20% or more of the voting rights or capital of an undertaking; or (2) where an undertaking which holds, directly or indirectly, voting rights or capital in another undertaking over which it effectively exercises a significant influence. [Note: Art. 13(20) and 212(2) of the Solvency II Directive]

Effective: 31/12/2024

partner

means (in relation to a firm which is a partnership) any person appointed to direct its affairs, including: (1) a person occupying the position of a partner (by whatever name called); and (2) a person in accordance with whose directions or instructions (not being advice given in a professional capacity) the partners are accustomed to act.

Effective: 02/04/2015

partnership

This term is defined externally, please refer to:s417(1) FSMA

Effective: 01/01/2016

partnership scheme

This term is defined externally, please refer to:s235A(5) FSMA

Effective: 01/01/2016

Payment Services Regulations

means the Payment Services Regulations 2017 (SI 2017/752).

Effective: 12/03/2023

payment system

has the meaning given in section 182 of the Banking Act 2009.

Effective: 08/12/2023

pension contract

means a contract under which rights to benefits are obtained by the making of contributions to an occupational pension scheme or to a personal pension scheme, where the contributions are paid to a regulated collective investment scheme.

Effective: 01/01/2016

pension opt-out

has the meaning given in the PRA Handbook as at 31 July 2015.

Effective: 03/08/2015

pension policy

means a contract under which a right to benefits results from contributions made to an occupational pension scheme or to a personal pension scheme, where the contributions are paid to an insurer.

Effective: 01/01/2016

pension scheme

means a scheme under which a right to benefits results from contributions made under a pension contract or pension policy.

Effective: 01/01/2016

pension transfer

has the meaning given in the PRA Handbook as at 31 July 2015.

Effective: 03/08/2015

permanent health

means the class of contract of insurance, specified in paragraph 4 of Part 2 of Schedule 1 to the Regulated Activities Order.

Effective: 01/01/2016

permanent share capital

has the meaning set out in Insurance Company - Capital Resources 5.1.

Effective: 01/01/2016

permission

means permission to carry on regulated activities.

Effective: 19/06/2014

person

This term is defined externally, please refer to: Interpretation Act 1978 Schedule 1

Effective: 29/04/2014

person connected with a critical third party

has the same meaning as in section 312P(10) of FSMA, and the reference to any relevant time means any time relevant for the application of the relevant rule.

Effective: 01/01/2025

personal pension scheme

has the meaning provided in Article 3(1) of the Regulated Activities Order.

Effective: 03/08/2015

phasing-in plan

means the phasing-in plan required to be submitted by a firm to the PRA: (1) in relation to a firm with approval to use the risk-free interest rate transitional measure, under Transitional Measures 12.1; and (2) in relation to a firm with TMTTP Permission, under Transitional Measure on Technical Provisions 7.1.

Effective: 31/12/2024

policy

has the meaning given in article 2 of the Financial Services and Markets Act 2000 (Meaning of "Policy" and "Policyholder") Order 2001 (SI 2001/2361).

Effective: 01/10/2015

policyholder

either: (1) means, in respect of a contract of insurance where the insurance undertaking is a UK Solvency II firm or a third country branch undertaking, a policyholder which includes a beneficiary; or (2) has the meaning given in article 3 of the Financial Services and Markets Act 2000 (Meaning of "Policy" and "Policyholder") Order 2001 (SI 2001/2361).

Effective: 31/12/2024

policyholder protection scheme

means the compensation scheme for claims under contracts of insurance.

Effective: 03/07/2015

PPFM

means the Principles and Practices of Financial Management which a firm carrying on with-profits insurance business must establish, maintain and record under COBS 20.3 of the FCA Handbook.

Effective: 01/01/2016

PRA

means the Prudential Regulation Authority.

Effective: 01/01/2014

PRA approved intermediate holding company

means a financial holding company or mixed financial holding company within the meaning of points (20) and (21) respectively of Article 4(1) of the CRR that this is not a UK parent financial holding company or a UK parent mixed financial holding company and that is approved under Part 12B of FSMA.

Effective: 12/08/2022

PRA approved parent holding company

The changes to this defined term are effective from 23:00 on 31/12/2020. means a UK parent financial holding company or UK parent mixed financial holding company that is approved under Part 12B of FSMA.

Effective: 31/12/2020

PRA approved person

means a person approved by the PRA under section 59 of FSMA (Approval for particular arrangements) to perform a PRA senior management function.

Effective: 07/03/2016

PRA designated institution

means a CRR firm that is designated under Part 12B of FSMA or regulation 5(5) of the Financial Holding Companies (Approval etc.) and Capital Requirements (Capital Buffers and Macro-prudential Measures) (Amendment) (EU Exit) Regulations 2020.

Effective: 29/12/2020

PRA designated intermediate holding company

means a financial holding company or mixed financial holding company within the meaning of points (20) and (21) respectively of Article 4(1) of the CRR that this not a UK parent financial holding company or a UK parent mixed financial holding company and that is designated under Part 12B of FSMA.

Effective: 12/08/2022

PRA designated parent holding company

The changes to this defined term are effective from 23:00 on 31/12/2020. means an UK parent financial holding company or UK parent mixed financial holding company that is designated under Part 12B of FSMA.

Effective: 31/12/2020

PRA Handbook

means the PRA's Handbook of rules and guidance.

Effective: 19/06/2014

PRA senior management approval application

means an application to perform a PRA senior management function under section 59 of FSMA.

Effective: 10/12/2018

PRA senior management function

means: (1) in respect of a CRR firm, a credit union and a third country CRR firm a function specified as a controlled function in Senior Management Functions 2 in relation to the carrying on of regulated activity by a firm. (2) (in respect of a UK Solvency II firm, the Society, a managing agent, a third country branch undertaking (other than a Swiss general insurer) and a UK ISPV) that aspect of any key function relating to the carrying on of regulated activity by the firm, which is specified by the PRA in Insurance - Senior Management Functions 3 to 10 and 12 pursuant to section 59 of FSMA. (3) (in respect of a small non-directive insurer) any function which is specified by the PRA in Non-Solvency II Firms - Senior Management Functions 3 to 5 pursuant to section 59 of FSMA. (4) (in respect of a large non-directive insurer and a Swiss general insurer) any function which is specified by the PRA in Large Non-Solvency II Firms - Senior Management Functions 3 to 9 pursuant to section 59 of FSMA. (5) (in respect of a third country insurance service provider in relation to the carrying on by the firm of regulated activity in the UK) any function specified in Insurance - Senior Management Functions 3 to 10.

Effective: 24/07/2025

PRA senior management function holder

means a person who has been approved to perform a PRA senior management function in respect of the firm.

Effective: 10/12/2018

PRA-authorised person

This term is defined externally, please refer to: FSMA s2B(5)

Effective: 15/02/2016

pre-Solvency II MCR

means the minimum capital requirement that applied to the UK Solvency II firm under PRA rules as at 31 December 2015.

Effective: 01/01/2016

preference share

means a share conferring preference as to income or return of capital which does not form part of the equity share capital of an undertaking.

Effective: 01/01/2016

premium

means the consideration payable under a contract of insurance by the policyholder to the insurer.

Effective: 03/07/2015

premiums amount

means an amount, as defined in Insurance Company - Capital Resources Requirements 8.1, used in the calculation of the general insurance capital requirement.

Effective: 01/01/2016

Principles for Financial Market Infrastructures

means the Principles for Financial Market Infrastructures issued by the Committee on Payment and Market Infrastructures and the International Organisation of Securities Commissions in April 2012.

Effective: 05/08/2024

probability distribution forecast

means a mathematical function that assigns a probability of realisation to an exhaustive set of mutually exclusive future events. [Note: Art. 13(38) of the Solvency II Directive]

Effective: 01/01/2016

professional client

has the meaning given in the FCA Handbook as amended from time to time.

Effective: 03/01/2018

proper valuation

means, in relation to land, a valuation made by a qualified valuer not more than three years before the relevant date which determined the amount which would be realised at the time of the valuation on an open market sale of the land free from any mortgage or charge.

Effective: 01/01/2016

property-linked benefits

means benefits other than an index-linked benefit: (1) provided for under a linked long-term contract of insurance; and (2) determined by reference to the value of, or income from, property of any description (whether specified in the contract or not).

Effective: 01/01/2016

property-linked liabilities

means insurance liabilities in respect of property-linked benefits.

Effective: 01/01/2016

proportional share

means, in relation to an affiliated company, the percentage which is the percentage holding (directly or indirectly) in the affiliated company's capital.

Effective: 01/01/2016

protected claim

means a claim which is covered by the policyholder protection scheme as defined in Policyholder Protection 9.1.

Effective: 03/07/2015

prudential context

means, in relation to activities carried on by a firm, the context in which the activities have, or might reasonably be regarded as likely to have, a negative effect on: (1) the safety and soundness of the firm; or (2) the ability of the firm to meet either: (a) the "fit and proper" test in threshold conditions 4E and 5E (Suitability); or (b) the applicable requirements and standards under the regulatory system relating to the firm's financial resources.

Effective: 02/04/2015

pure protection contract

means: (1) along-term insurance contract in respect of which the following conditions are met: (a) the benefits under the contract are payable only on death or in respect of incapacity due to injury, sickness or infirmity; (b) the contract has no surrender value, or the consideration consists of a single premium and the surrender value does not exceed that premium; and (c) the contract makes no provision for its conversion or extension in a manner which would result in it ceasing to comply with (a) or (b); or (2) an insurance contract covering all or part of a risk to which a person is exposed under an along-term insurance contract.

Effective: 03/08/2015

pure reinsurer

means an insurer whose insurance business is restricted to reinsurance.

Effective: 01/01/2016

qualified investor scheme

means an IVC, authorised unit trust scheme or an authorised contractual scheme whose instrument constituting the scheme contains the statement in COLL 8.2.6 R 1(2) of the FCA Handbook that it is a qualified investor scheme.

Effective: 01/01/2016

qualifying infrastructure corporate investment

means an investment in an infrastructure entity that meets all the requirements set out in Solvency Capital Requirement - Standard Formula 3D3.

Effective: 31/12/2024

qualifying infrastructure investment

means an investment in an infrastructure entity that meets all the requirements set out in Solvency Capital Requirement - Standard Formula 3D2.

Effective: 31/12/2024

qualifying parent undertaking

has the meaning given in section 192B of FSMA.

Effective: 19/01/2015

quasi-derivative

a contract or asset having the effect of a derivative contract.

Effective: 01/01/2016

railway rolling stock

means the class of contract of insurance, specified in paragraph 4 of Part 1 of Schedule 1 to the Regulated Activities Order.

Effective: 04/11/2024

rating notch

means, in respect of each credit quality step, the additional sub-categories (if relevant) which differentiate the relative credit quality of assets within that credit quality step.

Effective: 30/06/2024

real estate

means an interest in land, buildings or other immoveable property.

Effective: 01/01/2016

recognised scheme

The changes to this defined term are effective from 23:00 on 31/12/2020. means a scheme recognised under: (1) section 270 of FSMA (Schemes authorised in designated countries or territories); or (2) section 272 of FSMA (Individually recognised overseas schemes).

Effective: 31/12/2020

recovery plan

means: (1) (except in the Group Supervision Part of the PRA Rulebook), the Recovery Plans Part of the PRA Rulebook and the Operational Continuity Part of the PRA Rulebook), the recovery plan required to be provided by a firm to the PRA under Undertakings in Difficulty 3.1(2); (2) (in the Group Supervision Part of the PRA Rulebook), the recovery plan required to be provided by a relevant insurance group undertaking to the PRA under Group Supervision 4.4(2); and (3) (in the Recovery Plans Part of the PRA Rulebook and the Operational Continuity Part of the PRA Rulebook) a recovery plan drawn up by a firm in accordance with Recovery Plans 2.

Effective: 01/01/2019

recovery time risk

means the risk of loss, or of adverse change in the value of insurance obligations, resulting from changes in the expected time until the cessation of payments to those currently unable to work due to illness, injury or disability.

Effective: 30/06/2024

Regulated Activities Order

means the Financial Services and Markets Act 2000 (Regulated Activities) Order 2001 (SI 2001/544).

Effective: 01/02/2014

regulated activity

This term is defined externally, please refer to: FSMA s22

Effective: 07/03/2016

regulated affiliated company

means an affiliated company which has a Part 4A permission.

Effective: 01/01/2016

regulated benchmark administrator

a person who has a Part 4A permission to carry on the regulated activity of administering a benchmark.

Effective: 29/06/2018

regulated collective investment scheme

means: (1) an IVC; (2) an authorised unit trust scheme; (3) an authorised contractual scheme; or (4) a recognised scheme.

Effective: 03/07/2015

regulated entity

means: (1) a credit institution; (2) a Solvency II undertaking, a third country insurance undertaking, a third country reinsurance undertaking; (3) an investment firm; (4) an asset management company; or (5) an alternative investment fund manager; whether or not it is incorporated in, or has its head office in, the UK.

Effective: 31/12/2024

regulated institution

The changes to this defined term are effective from 23:00 on 31/12/2020. means any of the following: (1) a UK Solvency II firm, the Society, a managing agent or a third country branch undertaking; or (2) a CRD credit institution; or (3) a non-directive insurer; or (4) a firm whose permission includes dealing in investments as principal with respect to derivatives which are not listed; or (5) a MiFID investment firm whose authorisation (as referred to in article 5 of MiFID) authorises it to carry on activities of the kind referred to in (4).

Effective: 31/12/2020

regulated market

The changes to this defined term are effective from 23:00 on 31/12/2020. means: (1) a regulated market as defined in Article 2(1) of MiFIR; or (2) a market situated outside the UK which is characterised by the fact that: (a) it meets comparable requirements to those set out in (1); and (b) the financial instruments dealt in are of a quality comparable to those in a regulated market in the UK.

Effective: 31/12/2020

regulatory system

The changes to this defined term are effective from 23:00 on 31/12/2020. means the arrangements for regulating a firm or other person in or under FSMA, the Bank of England Act 1998, the Banking Act 2009, the Friendly Societies Act 1974, the Friendly Societies Act 1992, the Credit Unions Act 1979, including the threshold conditions, the Fundamental Rules and other rules, the Statements of Principle, codes and guidance given by the PRA, the Bank of England or the FCA and including any relevant provisions of an EU Regulation including those specified under section 204A(2) of FSMA.

Effective: 31/12/2020

reinsurance

includes retrocession.

Effective: 19/06/2014

reinsurance contract

means a contract of insurance covering all or part of a risk to which a person is exposed under a contract of insurance.

Effective: 03/08/2015

Reinsurance Directive

means the Directive of 16 November 2005 of the European Parliament and of the Council (No 2005/68/EC) on reinsurance and amending the First Non-Life Directive and the Third Non-Life Directive as well as the Insurance Groups Directive and the Consolidated Life Directive.

Effective: 19/06/2014

reinsurance distribution

has the meaning given in Article 2(1)(2) of the Insurance Distribution Directive.

Effective: 01/10/2018

reinsurance to close

means: (1) an agreement under which members of a syndicate in one syndicate year ("the reinsured members") agree with the members of that syndicate in a later syndicate year or the members of another syndicate ("the reinsuring members") that the reinsuring members will discharge, or procure the discharge of, or indemnify the reinsured members against, all known and unknown insurance business liabilities of the reinsured members arising out of the insurance business carried on by the reinsured members in that syndicate year; or (2) a similar reinsurance agreement or arrangement that has been approved by the Council as a reinsurance to close.

Effective: 01/01/2016

reinsurance undertaking

means an insurance undertaking whose insurance business is restricted to reinsurance.

Effective: 19/06/2014

reinsurer

means an insurance undertaking whose business includes effecting contracts of insurance or carrying out contracts of insurance that are reinsurance contracts; includes a retrocessionaire.

Effective: 01/01/2016

related undertaking

means, in relation to an undertaking ('U') (1) any subsidiary undertaking of U; or (2) any undertaking in which U or any of U's subsidiary undertakings holds a participation; or (3) any undertaking linked to U by a common management relationship; or (4) any undertaking linked by a common management relationship to an undertaking in (1), (2) or (3).

Effective: 31/12/2024

relevant capital sum

means the sum under a contract of insurance which is: (1) unless (2) applies; (a) for whole life assurances, the sum assured; (b) for contracts of insurance where a sum is payable on maturity (including contracts where a sum is also payable on earlier death), the sum payable on maturity; (c) for deferred annuities, the capitalised value of the annuity at the vesting date (or the cash option if it is greater); (d) for capital redemption contracts, the sum payable at the end of the contract period; and (e) for linked long-term contracts of insurance, notwithstanding (a) to (d), the lesser of: (i) the amount for the time being payable on death; and (ii) the aggregate of the value for the time being of the units allocated to the contract (or, where entitlement is not denoted by means of units, the value for the time being of any other measure of entitlement under the contract equivalent to units) and the total amount of the premiums remaining to be paid during such of the term of the contract as is appropriate for illmerising or, if such premiums are payable beyond the age of seventy-five, until that age; but excluding in all cases any vested reversionary bonus; and (2) for temporary assurances, the sum assured on the actuarial valuation date.

Effective: 01/01/2016

relevant date

means, in relation to the valuation of any asset for any purpose for which the rules in Friendly Society - Asset Valuation apply, the date when the asset falls to be valued for that purpose.

Effective: 01/01/2016

relevant insurance group undertaking

The changes to this defined term are effective from 23:00 on 31/12/2020. means, in relation to a group falling within Group Supervision 2.1(1) or 2.1(2), each UK Solvency II firm within that group.

Effective: 31/12/2020

relevant legislation

means: (1) FSMA; (2) the Capital Requirements Regulations; (3) [deleted]; (4) any other enactment; or (5) any EU regulation.

Effective: 31/12/2024

relevant person

means any of the following: (1) a director, partner or equivalent, manager or appointed representative (or where applicable, tied agent) of the firm; (2) a director, partner or equivalent, or manager of any appointed representative (or where applicable, tied agent) of the firm; (3) an employee of the firm or of an appointed representative (or where applicable, tied agent) of the firm; as well as any other natural person whose services are placed at the disposal and under the control of the firm or an appointed representative or tied agent of the firm and who is involved in the provision by the firm of regulated activities; or (4) a natural person who is directly involved in the provision of services to the firm or its appointed representative (or where applicable, tied agent) under an outsourcing arrangement, for the purpose of the provision by the firm of regulated activities.

Effective: 02/04/2015

relevant portfolio of assets

means, in respect of a relevant portfolio of insurance or reinsurance obligations, the portfolio of assets, referred to in regulation 4(3) of the IRPR regulations, which is assigned to cover the best estimate of those insurance or reinsurance obligations.

Effective: 30/06/2024

relevant portfolio of insurance or reinsurance obligations

means a portfolio of long-term insurance or reinsurance obligations, in respect of which: (1) a firm has been granted a matching adjustment permission; and (2) for the purposes of the Matching Adjustment Part only, a firm is applying for a matching adjustment permission.

Effective: 30/06/2024

relevant risk-free interest rate term structure

means the relevant risk-free interest rate term structure, in accordance with: (1) Technical Provisions 5 and 8, Matching Adjustment Part, Technical Provisions - Further Requirements Part and Transitional Measures 10.2; and (2) deleted the relevant technical information published by the PRA in accordance with regulation 3(1) of the IRPR regulations.

Effective: 31/12/2024

relevant senior management function

means, for the purposes of section 64A of FSMA and to the extent applicable, pursuant to the FCA Handbook, to a UK Solvency II firm, the Society, a managing agent, a third country branch undertaking (other than a Swiss general insurer), an ISPV, a large non-directive insurer or a small non-directive insurer: an FCA governing function; and [Deleted.]; [Deleted.]; [Deleted.]; [Deleted.]; [Deleted.]; Compliance oversight function (FCA controlled function SMF 16).

Effective: 10/12/2018

relevant service provider

This term is defined externally, please refer to: section 312L(8) of FSMA

Effective: 01/01/2025

relevant services and activities

means regulated activities, listed activities or ancillary services.

Effective: 23/10/2025

remuneration

means any form of remuneration, including salary, discretionary pension benefits and benefits of any kind.

Effective: 01/07/2015

repo

means: (1) an agreement between a seller and buyer for the sale of securities, under which the seller agrees to repurchase these securities, or equivalent securities, at an agreed date and, usually, at a stated price; or (2) an agreement between a buyer and a seller for the purchase of securities, under which the buyer agrees to resell these securities, or equivalent securities, at an agreed date and, usually, at a stated price.

Effective: 01/01/2016

required margin of solvency

means the amount calculated in accordance with Friendly Society - Overall Resources and Guarantee Fund 3.

Effective: 01/01/2016

requirement

means a requirement included in a firm's Part 4A permission under section 55L FSMA (Imposition of requirements by the FCA), section 55M FSMA (Imposition of Requirements by the PRA) or section 55O FSMA (Imposition of requirements on acquisition of control).

Effective: 01/01/2016

residual model limitation

means, in relation to an internal model for which a firm has, or in respect of which the firm is applying for, an internal model permission, an aspect of that internal model that prevents the firm from demonstrating that that internal model meets Solvency Capital Requirement - General Provisions 3.3 and 3.4 and all internal model requirements in all the circumstances in which it is, or is intended, to be used.

Effective: 24/07/2025

resilience capital requirement

means one of the components of the long-term insurance capital requirements set out in Insurance Company - Capital Resources Requirements 20.

Effective: 01/01/2016

restricted own funds

means own funds items that have a reduced capacity to fully absorb losses on a going-concern basis due to their lack of transferability within the firm for any of the following reasons: (1) the items can only be used to cover losses on a defined portion of the firm's contracts of insurance; (2) the items can only be used to cover losses in respect of certain policyholders; or (3) the items can only be used to cover losses arising from particular risks or liabilities; but does not include the value of future transfers attributable to shareholders.

Effective: 31/12/2024

retail client

means a client who is neither a professional client nor an eligible counterparty.

Effective: 03/08/2015

retained direct EU legislation

This defined term is effective from 23:00 on 31/12/2020. has the meaning given in section 20(1) of the European Union (Withdrawal) Act 2018.

Effective: 31/12/2020

retained EU law

This defined term is effective from 23:00 on 31/12/2020. has the meaning given in section 6(7) of the European Union (Withdrawal) Act 2018.

Effective: 31/12/2020

revision risk

means life revision risk and/or health revision risk, as the context requires.

Effective: 30/06/2024

RFB sub-consolidated basis

means on the sub-consolidated basis of the sub-consolidation group.

Effective: 01/01/2019

ring-fenced body

This term is defined externally, please refer to: Section 417(1) FSMA

Effective: 01/01/2019

ring-fenced fund

means an identifiable unit of assets and liabilities where the existence of a restriction on those assets in relation to those liabilities on a going concern basis gives rise to restricted own funds, other than a matching adjustment portfolio.

Effective: 31/12/2024

ring-fenced holding company

means a body corporate falling within section 192JA(2) of FSMA that is the ultimate parent undertaking within a sub-consolidation group.

Effective: 07/03/2019

risk concentration

The changes to this defined term are effective from 23:00 on 31/12/2020. means all risk exposures with a loss potential which is large enough to threaten the solvency or the financial position in general of the regulated entities in a financial conglomerate, whether such exposures are caused by counterparty risk/credit risk, investment risk, insurance risk, market risk, other risks, or a combination or interaction of such risks.

Effective: 31/12/2020

risk control rules

means the rules in Internal Capital Adequacy Assessment 4 to 11.

Effective: 01/01/2019

risk margin

means the portion of technical provisions calculated in accordance with Technical Provisions 4A and 4B.

Effective: 31/12/2024

risk measure

means a mathematical function which assigns a monetary amount to a given probability distribution forecast and

increases monotonically with the level of risk exposure underlying that probability distribution forecast. [Note: Art. 13(39) of the Solvency II Directive]

Effective: 01/01/2016

risk-free interest rate transitional measure

means a transitional adjustment to the relevant risk-free interest rate term structure, referred to in Transitional Measures 10.1.

Effective: 01/01/2016

risk-mitigation techniques

The changes to this defined term are effective from 23:00 on 31/12/2020. means all techniques which enable a UK Solvency II firm to transfer part or all of its risks to another party. [Note: Art. 13(36) of the Solvency II Directive]

Effective: 31/12/2020

rolling spot forex contract

has the meaning given in the PRA Handbook as at 31 July 2015.

Effective: 03/08/2015

safeguarding and administering investments

means the regulated activity, specified in article 40 of the Regulated Activities Order (Safeguarding and administering investments).

Effective: 03/08/2015

safeguarding and administration of assets (without arranging)

that part of safeguarding and administering investments which consists of both: (a) the safeguarding of assets belonging to another; and (b) the administration of those assets.

Effective: 03/08/2015

scenario analysis

means the analysis of the impact of a combination of adverse events.

Effective: 31/12/2024

scope

means, in respect of an internal model for which the firm has (or is applying for) an internal model permission, the risks covered (or to be covered) by that internal model.

Effective: 31/12/2024

SCR

means the solvency capital requirement calculated in accordance with the SCR Rules. [Note: Art. 100 of the Solvency II Directive]

Effective: 01/01/2016

SCR Rules

means the PRA rules contained in the Solvency Capital Requirement - General Provisions Part of the PRA Rulebook, the Solvency Capital Requirement - Standard Formula Part of the PRA Rulebook and the Solvency Capital Requirement - Internal Models Part of the PRA Rulebook.

Effective: 01/01/2016

SDDT

has the meaning given in SDDT Regime - General Application 3.1.

Effective: 01/01/2024

SDDT consolidation entity

has the meaning given in SDDT Regime - General Application 3.2.

Effective: 01/01/2024

Second Life Directive

means the Council Directive of 8 November 1990 on the coordination of laws, etc and laying down provisions to facilitate the effective exercise of freedom to provide services and amending Directive 79/267/EEC (No 90/619/EEC).

Effective: 19/06/2014

Second Non-Life Directive

means the Council Directive of 22 June 1988 on the coordination of laws, etc and laying down provisions to facilitate the effective exercise of freedom to provide services and amending Directive 73/239/EEC (No 88/357/EEC).

Effective: 02/04/2015

section 59ZZA

This defined term is effective from 23:00 on 31/12/2020.means:(1) in relation to aSRO firm,section 59ZZAofFSMAas applied to such a firmby regulation 69 of the EEA Passport Rights (Amendment, etc., and Transitional Provisions) (EU Exit) Regulation 2018; and(2) in all other cases,section 59ZZAofFSMA.

Effective: 31/12/2020

section 59ZZA application

This defined term is effective from 23:00 on 31/12/2020.means an application under section 60 ofFSMAto thePRAMade by anauthorised personwho could be given a notice undersection 59ZZAofFSMAin relation to thepersonsubject to the application.

Effective: 31/12/2020

security

(in theSolvency II FirmsSector of thePRARulebook) has the meaning specified in article 3(1) of theRegulated Activities Order.

Effective: 01/01/2016

senior insurance management function holder

means anypersonwho is responsible for discharging asenior insurance management function.

Effective: 07/03/2016

senior management

means those naturalpersonswho exercise executive functions within a firmand who are responsible, and accountable to themanagement body, for the day-to-day management of thefirm.

Effective: 01/02/2014

senior management regime

means the requirements of theregulatory system, to the extent applicable toauthorised persons, insofar as they relate toapproved personsperformingPRA senior management functionsandrelevant senior management functions.

Effective: 10/12/2018

senior personnel

means thosepersonswho effectively direct the business of thefirm, which could include a firm'sgoverning bodyand otherpersonswho effectively direct the business of thefirm.

Effective: 02/04/2015

service

This term is defined externally, please refer to: section 312L(8) of FSMA

Effective: 01/01/2025

SFCR

means the solvency and financial condition report, as detailed in Reporting 3 to 6.

Effective: 01/01/2016

share

means the investment specified in article 76 of the Regulated Activities Order.

Effective: 03/07/2015

ships

means the class of contract of insurance specified in paragraph 6 of Part I of Schedule 1 to the Regulated Activities Order.

Effective: 03/07/2015

short-term deposit

means a deposit which may be withdrawn at the discretion of the lender without penalty or loss of accrued interest by giving notice of withdrawal of one month or less.

Effective: 01/01/2016

significant branch

means a branch for which the annual gross written premium of the branch exceeds 5% of the annual gross written premium of the group, measured with reference to the last available consolidated financial statements of the group.

Effective: 31/12/2024

significant deviation from relevant assumptions

means a significant deviation from the assumptions underlying the matching adjustment, the volatility adjustment, the risk-free interest rate transitional measure or the TMPT.

Effective: 31/12/2024

significant system of governance deviation

means the determination by the PRA of a significant deviation by a UK Solvency II firm, or a group (as appropriate), from the system of governance requirements set out in Conditions Governing Business 2.2 to 7 (including pursuant to Group Supervision 17.1(1) where appropriate).

Effective: 01/01/2016

skilled person

(except in the Critical Third Parties Part of the PRA Rulebook) means a person appointed to: (1) make and deliver to the PRA a report as provided for by section 166 of FSMA (Reports by skilled persons); or (2) collect or update information as required by the PRA under section 166A of FSMA (Appointment of skilled person to collect and update information). (in the Critical Third Parties Part of the PRA Rulebook) means a person appointed to: (1) make and deliver to a regulator a report as provided for by section 166 of FSMA (Reports by skilled persons) (as applied by section 312P of FSMA); or (2) collect or update information as required by a regulator under section 166A of FSMA (Appointment of skilled person to collect and update information) (as applied by section 312P of FSMA).

Effective: 01/01/2025

SLT health

means health insurance business that is pursued on a similar technical basis to that of long-term insurance business.

Effective: 31/12/2024

small electronic money institution

has the meaning given in regulation 2(1) of the Electronic Money Regulations.

Effective: 12/03/2023

small non-directive insurer

means a non-directive insurer other than a large non-directive insurer.

Effective: 01/01/2016

small payment institution

has the meaning given in regulation 2(1) of the Payment Services Regulations.

Effective: 12/03/2023

small run-off firm

means a firm: (1) whose Part 4A permission for effecting contracts of insurance has been cancelled as at the date on which the firm becomes a small run-off firm; (2) which has not effected any new contracts of insurance in the 12 months before the date on which the firm becomes a small run-off firm; (3) which has not participated as a transferee in a transfer of

insurance business under Part VII of FSMA in the 12 months before the date on which the firm becomes a small run-off firm; and (4) the value of whose technical provisions is less than £25 million, as reported in each of the firm's two most recent annual reports and accounts published before the date on which it becomes a small run-off firm. A firm remains a small run-off firm unless, after the date on which it becomes a small run-off firm, it: (1) has a Part 4A permission for effecting contracts of insurance; (2) effects a new contract of insurance; or (3) participates as a transferee in a transfer of insurance business under Part VII of FSMA.

Effective: 03/07/2017

Society

means the society incorporated by the Lloyd's Act 1871 by the name of Lloyd's.

Effective: 19/06/2014

solvency deficit

means the amount (if any) by which total capital after deductions fall short of individual capital resources requirements.

Effective: 01/01/2016

Solvency I Directive

means each of: (1) the Consolidated Life Directive; (2) the First Non-Life Directive; (3) the Second Non-Life Directive; (4) the Third Non-Life Directive; and (5) the Reinsurance Directive.

Effective: 01/01/2016

Solvency I firm

means a firm that immediately before the Solvency II implementation date was an insurer that fell within the scope of a Solvency I Directive.

Effective: 01/01/2016

Solvency II Directive

means the Directive of the European Parliament and of the Council of 25 November 2009 on the taking-up and pursuit of the business of Insurance and Reinsurance (Solvency II) (No 2009/138/EC).

Effective: 01/01/2016

Solvency II implementation date

means 1 January 2016.

Effective: 01/01/2016

Solvency II undertaking

means:(1) aUK Solvency II firm; or(2) aGibraltarian insurance undertaking.

Effective: 31/12/2024

special purpose vehicle

means anyundertaking, whether incorporated or not, other than an existingUK Solvency II firm, which:(1) assumes risks fromUK Solvency II firms(orthird country insurance undertakings,third country reinsurance undertakingsor Lloyd's); and(2) fully funds its exposure to such risks through the proceeds of a debt issuance or any other financing mechanism where the repayment rights of the providers of such debt or financing mechanism are subordinated to theundertaking'sobligations to theUK Solvency II firm(orthird country insurance undertaking,third country reinsurance undertakingor Lloyd's) in respect of the risks referred to in (1).

Effective: 31/12/2024

specified investment

has the meaning given in thePRA Handbookas at 31 July 2015.

Effective: 03/08/2015

spread bet

has the meaning given in thePRA Handbookas at 31 July 2015.

Effective: 03/08/2015

spread risk

means:(1) the risk that a spread (that is, the difference in price or yield) between two variables will change; or(2) in theSolvency Capital Requirement - Standard Formula Part, theSolvency Capital Requirement - General Provisions Partand thecredit riskdefinition: the sensitivity of the values of assets, liabilities and financial instruments to changes in the level or in the volatility of credit spreads over the risk-free interest rate term structure.

Effective: 31/12/2024

SRO firm

This defined term is effective from 23:00 on 31/12/2020.means afirmt to whom regulation 28 or 34 of Part 6 of the EEA Passport Rights (Amendment etc. and Transitional Provisions (EU Exit) Regulations 2018 applies.

Effective: 31/12/2020

SRO insurer

This defined term is effective from 23:00 on 31/12/2020. means a SRO firm with permission to effect contracts of insurance or carry out contracts of insurance.

Effective: 31/12/2020

SSS

has the meaning given in Article 2(1)(10A) of CSDR.

Effective: 08/12/2023

stakeholder pension scheme

has the meaning provided in Article 3(1) of the Regulated Activities Order.

Effective: 03/08/2015

standard formula

means a methodology used by a firm to calculate its SCR according to the rules in the Solvency Capital Requirement - Standard Formula Part of the PRA Rulebook.

Effective: 01/01/2016

standard formula significant risk profile deviation

means the determination by the PRA of a significant deviation in the risk profile of a UK Solvency II firm, or a group (as appropriate), from the assumptions underlying the SCR (or group SCR, as appropriate) in circumstances where the firm's SCR (or the group's group SCR, as appropriate) is calculated using the standard formula.

Effective: 01/01/2016

standing data

means the information relating to a firm held by the PRA on the following matters: (1) Communications with a firm: (a) name; (b) trading name(s); (c) registered office; (d) principal place of business; (e) website address; (f) complaints contact and complaints officer; and (g) the name and email address of the primary compliance contact. (2) Other information about a firm: (a) name and address of the firm's auditor; (b) accounting reference date; and (c) locum.

Effective: 02/04/2015

Statement of Principle

means one of the Statements of Principle issued by the PRA under section 64(1A) of FSMA (Conduct: statements and codes) with respect to the conduct of approved persons.

Effective: 19/06/2014

statement of responsibilities

means a statement of the aspects of the affairs of an authorised person for which it is intended that a person is (or will be) responsible including information required under section 60(2A) or section 62A of FSMA.

Effective: 10/12/2018

statement of responsibilities form

(1) for a UK Solvency II firm, the Society, a managing agent, a UK ISPV and a third country branch undertaking (other than a UK deposit insurer or a Swiss general insurer), means the form to be completed by a firm containing: (a) the information referred to in Insurance - Allocation of Responsibilities 5.1(3); (b) in respect of Insurance - Senior Managers Regime - Applications and Notifications 2.7, 4A.1, 5.3 and 6.3(1), the information required by section 60(2A) of FSMA; and (c) in respect of Insurance - Allocation of Responsibilities 5.5 and for PRA senior management function holders only, the information required by section 60(2A) of FSMA. (2) for a large non-directive insurer, means the form to be completed by a firm containing: (a) the information referred to in Large Non-Solvency II Firms - Allocation of Responsibilities 5.1(3); (b) in respect of Large Non-Solvency II Firms - Senior Managers Regime - Applications and Notifications 2.7, 4A.1, 5.3 and 6.3(1), the information required by section 60(2A) of FSMA; and (c) in respect of Large Non-Solvency II Firms - Allocation of Responsibilities 5.5 and for PRA senior management function holders only, the information required by section 60(2A) of FSMA. (3) for a small non-directive insurer, means the form to be completed by a firm containing: (a) the information referred to in Non-Solvency II Firms - Fitness and Propriety 4.1(2); and (b) in respect of Non-Solvency II Firms - Senior Managers Regime - Applications and Notifications 2.7, 4A.1, 5.3 and 6.3(1), the information required by section 60(2A) of FSMA.

Effective: 10/12/2018

step-in entity

means an unconsolidated entity identified in accordance with Step-in Risk 6.1(1).

Effective: 01/01/2026

step-in risk

means the risk that the firm provides financial support to a step-in entity in stressed conditions, in the absence of, or in excess of any contractual obligation to do so.

Effective: 01/01/2026

step-in risk assessment

means the assessment carried out in accordance with Chapters 5, 6 and 7 of the Step-in Risk Part and completion of data items SI700.00, SI01.00 and SI02.00 as required by the Regulatory Reporting Part.

Effective: 01/01/2026

stock lending

means the disposal of a designated investment subject to an obligation or right to reacquire the same or a similar designated investment from the same counterparty.

Effective: 01/01/2016

sub-consolidated basis

This term is defined externally, please refer to: point (49) of Article 4(1) CRR

Effective: 12/08/2022

sub-consolidation group

means the undertakings included in the scope of consolidation as a result of a requirement imposed on a ring-fenced body under Article 11(5) of CRR.

Effective: 01/01/2019

subsidiary

This term is defined externally, please refer to: s420(2) FSMA

Effective: 01/01/2016

subsidiary undertaking

means an undertaking of which another undertaking is its parent undertaking.

Effective: 12/10/2016

supervisory authority

The changes to this defined term are effective from 23:00 on 31/12/2020. means the national authorities empowered by law or regulation of the UK to supervise UK Solvency II firms for the purposes of the provisions implementing the Solvency II Directive, being the PRA and FCA. [Note: Art. 13(10) of the Solvency II Directive]

Effective: 31/12/2020

supervisory function

means any function within a firm that is responsible for the supervision of its senior personnel.

Effective: 02/04/2015

support arrangements

means arrangements under which the financial resources available to a with-profits fund include (or are intended in particular circumstances to include) financial resources from outside that with-profits fund.

Effective: 01/01/2016

suretyship

means the class of contract of insurance, specified in paragraph 15 of Part 1 of Schedule 1 to the Regulated Activities Order.

Effective: 04/11/2024

surplus assets

has the meaning given in Friendly Society - Asset Valuation 5.3.

Effective: 01/01/2016

surplus funds

means, in relation to a with-profits fund, accumulated profits which have not been made available for distribution to policyholders and which: (1) satisfy the criteria for classification as Tier 1 own funds set out in Own Funds 3.1, 3A and 3B; and (2) are represented by the output of the calculations set out in Surplus Funds 3.

Effective: 31/12/2024

surrender

means all possible ways to fully or partly terminate a policy, including the following: (1) voluntary termination of the policy with or without the payment of a surrender value; (2) change of firm by the policyholder; or (3) termination of the policy resulting from the policyholder's refusal to pay the premium.

Effective: 31/12/2024

surrender value

means: (1) where the contract is a contract of life assurance or a contract for an annuity, the amount (including a nil amount) payable by the firm or other body issuing the contract on surrender of the policy; (2) where the contract is a personal pension scheme or a stakeholder pension scheme, the amount payable on the transfer of the investor's accrued rights under that contract to another personal pension scheme or a stakeholder pension scheme; or (3) where the contract is for any other matter, the amount payable by the firm on the surrender of the policy.

Effective: 01/01/2016

Swiss general insurance company

has the meaning given in article 1(2) of the Financial Services and Markets Act 2000 (Variation of Threshold Conditions)

Order 2001 (SI 2001/2507).

Effective: 01/01/2016

Swiss general insurer

means a Swiss general insurance company which has a Part 4A permission to effect contracts of insurance or carry out contracts of insurance of a kind which is subject to the Swiss Treaty Agreement.

Effective: 01/01/2016

Swiss Treaty Agreement

means the agreement between the United Kingdom of Great Britain and Northern Ireland and the Swiss Confederation on direct insurance other than life insurance, signed on 25 January 2019.

Effective: 01/01/2026

syndicate

means one or more persons, to whom a particular syndicate number has been assigned by or under the authority of the Council, carrying out contracts of insurance or effecting contracts of insurance written at Lloyd's.

Effective: 19/06/2014

syndicate assets

means the assets managed by or at the direction of a managing agent in respect of insurance business carried on through a syndicate and overseas business regulatory deposits funded from those assets.

Effective: 01/01/2016

syndicate year

means a year of account of a syndicate.

Effective: 01/01/2016

technical provisions

(1) (in the Solvency II Firms Sector) means the technical provisions established in accordance with Technical Provisions 2.1; (2) (in the Non-Solvency II Firms Sector) means a technical provision established: (a) for general insurance business, in accordance with Insurance Company - Technical Provisions 2.1; and (b) for long-term insurance business, in accordance with Insurance Company - Technical Provisions 2.2.

Effective: 01/01/2016

temporary high balance

means that part of an eligible deposit in excess of the coverage level set out in Depositor Protection 4.2 which meets the additional criteria set out in Depositor Protection 10.2. [Note: Art. 2(1)(6) of the DGSD]

Effective: 01/07/2023

The EU

This term is defined externally, please refer to: s1(2) Interpretation Act 1978

Effective: 29/04/2014

third country

The changes to this defined term are effective from 23:00 on 31/12/2020. means a territory or country other than the United Kingdom.

Effective: 31/12/2020

third country branch

means a third country insurance branch or a third country pure reinsurance branch.

Effective: 01/01/2016

third country branch undertaking

means: (1) a third country insurance undertaking that has a third country insurance branch; or (2) a third country insurance undertaking or third country reinsurance undertaking that has a third country pure reinsurance branch.

Effective: 01/01/2016

third country CRR firm

The changes to this defined term are effective from 23:00 on 31/12/2020. means an overseas firm that would be a CRR firm if it had been a UK undertaking, had carried on all of its business in the UK and had obtained whatever authorisations for doing so as are required under FSMA. [Note: Section 425(1)(a) FSMA]

Effective: 31/12/2020

third country financial conglomerate

has the meaning given in regulation 7 of the Financial Conglomerates Regulations.

Effective: 12/08/2022

third country firm

The changes to this defined term are effective from 23:00 on 31/12/2020.means anoverseas firm.

Effective: 31/12/2020

third country insurance branch

means a permanent presence in theUKof athird country insurance undertakingthat has apermissiontoeffect contracts of insuranceorcarry out contracts of insurance(except anundertakingwhich pursues only the business ofreinsurancein theUK).[Note: Art. 162(3) of theSolvency II Directive]

Effective: 01/01/2016

third country insurance services provider

This defined term is effective from 23:00 on 31/12/2020.means athird country insurance undertakingthat has apermissiontoeffect contracts of insuranceorcarry out contracts of insurancein theUKand does not have a permanent presence in theUK.

Effective: 31/12/2020

third country insurance undertaking

means anundertakingthat has its head office outside theUKand if its head office were situated in theUKwould:(1) needPart 4A permission; and(2) satisfy the conditions set out inInsurance General Application 2.2.

Effective: 31/12/2024

third country investment firm

The changes to this defined term are effective from 23:00 on 31/12/2020.afirmwhich would be aMiFID investment firmif it had its head office in theUK.

Effective: 31/12/2020

third country pure reinsurance branch

means a permanent presence in theUKof athird country insurance undertakingorthird country reinsurance undertaking, that has apermissiontoeffect contracts of insuranceorcarry out contracts of insuranceand which pursues only the business ofreinsurancein theUK.[Note: Art. 162(3) of theSolvency II Directive]

Effective: 01/01/2016

third country reinsurance undertaking

means anundertakingthat pursues only the business of reinsurance and has its head office outside theUKand if its head

office were situated in the UK would: (1) need Part 4A permission; and (2) satisfy the conditions set out in Insurance General Application 2.2.

Effective: 31/12/2024

Third Life Directive

means the Council Directive of 10 November 1992 on the coordination of laws, etc, and amending Directives 79/267/EEC and 90/619/EEC (No 92/96/EEC).

Effective: 19/06/2014

Third Non-Life Directive

means the Council Directive of 18 June 1992 on the coordination of laws, etc, and amending Directives 73/239/EEC and 88/357/EEC (No 92/49/EEC).

Effective: 19/06/2014

third-country CSD

has the meaning given in Article 2(1)(2) of CSDR.

Effective: 08/12/2023

Threshold conditions

This term is defined externally, please refer to: s417 FSMA (by reference to s55B(1) FSMA)

Effective: 01/10/2015

tied agent

means a person who, under the full and unconditional responsibility of only one MiFID investment firm or third country investment firm on whose behalf it acts, promotes investment services and/or ancillary services to clients or prospective clients, receives and transmits instructions or orders from the client in respect of investment services or financial instruments, places financial instruments and/or provides advice to clients or prospective clients in respect of those financial instruments or investment services.

Effective: 02/04/2015

Tier 1 capital

has the meaning it has in Article 25 of the CRR.

Effective: 01/01/2022

tier 1 capital (leverage)

means tier 1 capital as defined in Article 25 of theCRRexcept that an additional tier 1 capital instrument can only be counted astier 1 capital (leverage)if it either:(a) converts into common equity tier 1 capital; or(b) writes down,when the common equity tier 1 capital ratio of thefirmfalls below a level equal to either:(a) 7%; or(b) a level higher than 7%,as specified in the provisions governing the instrument.In this definition:(a) 'additional tier 1 capital' has the meaning given in Article 61 of theCRR;(b) 'common equity tier 1 capital' has the meaning given in Article 50 of theCRR; and(c) 'common equity tier 1 capital ratio' has the meaning given in Article 92(2)(a) of theCRR.

Effective: 01/01/2022

Tier 1 own funds

means an item ofbasic own fundsthat satisfies the conditions inOwn Funds 3.1,3Aand3B.1to3B.13.

Effective: 31/12/2024

Tier 2 basic own funds

means an item ofTier 2 own fundsthat is an item ofbasic own funds.

Effective: 01/01/2016

Tier 2 own funds

means an item ofown fundsthat satisfies the conditions in:(1)Own Funds 3.2(1),Own Funds 3Dand3E.1to3E.5; or(2)Own Funds 3.2(2),Own Funds 3Hand3I.

Effective: 31/12/2024

Tier 3 own funds

means an item ofown fundsreferred to inOwn Funds 3.3that satisfies the conditions in either:(1)Own Funds 3Fand3G.1to3G.5; or(2)Own Funds 3J.

Effective: 31/12/2024

tier one capital

means an item of capital that is specified in stages A (Core tier one capital), B (Perpetual non-cumulative preference shares) or C (innovative tier one capital) of thecapital resources table.

Effective: 01/01/2016

tier two capital resources

means the sum calculated at stage I (Total tier two capital) of the calculation in thecapital resources table.

Effective: 01/01/2016

TMTP

means a transitional deduction from a firm's technical provisions.

Effective: 31/12/2024

TMTP Permission

means the permission to apply TMTP granted to a firm by the PRA pursuant to section 138BA of FSMA.

Effective: 31/12/2024

tontine

means the class of contracts of insurance specified in paragraph V of part II of Schedule 1 to the Regulated Activities Order.

Effective: 01/01/2016

total assets

means: (1) for a firm which is required to submit data item FSA001, the sum of the firm's assets as recorded at Cells 20A plus 20B of that data item; (2) for a firm which is required to submit data item template 1.01 of Annex III of the Supervisory Reporting ITS, the sum of the firm's assets as recorded at row 380 of that data item; or (3) for a firm which is required to submit data item template 1.01 of Annex IV of the Supervisory Reporting ITS, the sum of the firm's assets as recorded at row 380 of that data item.

Effective: 01/10/2018

total capital after deductions

(1) in relation to an undertaking with a Part 4A permission, the total capital after deductions calculated as if that undertaking were required to calculate its capital resources in accordance with Insurance Company - Capital Resources Table 2.1, but with such adjustments being made to secure that the undertaking's calculation of its total capital after deductions complies with relevant capital provisions in the PRA Rulebook or FCA Handbook; (2) in relation to any other subsidiary, the total capital after deductions of the undertaking calculated as if the undertaking were required to calculate its total capital resources in accordance with Insurance Company - Capital Resources Table 2.1.

Effective: 01/01/2016

total exposure measure

has the meaning given in Article 429(4) of Chapter 3 of the Leverage Ratio (CRR) Part.

Effective: 01/01/2022

transferable securities

means as defined in Article 4(1)(44) of MiFID II.

Effective: 03/01/2018

Transitional Order

means the Financial Services (Banking Reform) Act 2013 (Transitional and Savings Provisions) Order 2015 (SI 2015/492).

Effective: 10/12/2018

Treasury

This term is defined externally, please refer to: Schedule 1, Interpretation Act 1978

Effective: 01/01/2022

UCITS

The changes to this defined term are effective from 23:00 on 31/12/2020. (1) an undertaking: (a) with the sole object of collective investment in transferable securities or in other liquid financial instruments of capital raised from the public and which operate on the principle of risk-spreading; and (b) with units which are, at the request of holders, repurchased or redeemed, directly or indirectly, out of those undertakings' assets (and for these purposes, action taken by the undertaking to ensure that the stock exchange value of its units does not significantly vary from their asset value is to be regarded as equivalent to such repurchase or redemption). (2) undertakings for collective investment in transferable securities that are established in the European Economic Area in accordance with the UCITS Directive.

Effective: 31/12/2020

UCITS Directive

means the European Parliament and Council Directive of 13 July 2009 on the coordination of laws, regulations and administrative provisions relating to undertakings for collective investment in transferable securities (UCITS) (No 2009/65/EC) as amended.

Effective: 03/08/2015

UCITS management company

has the same meaning as given to 'management company' in section 237 of FSMA.

Effective: 31/12/2024

UK

means United Kingdom.

Effective: 01/01/2014

UK bank

means a UK undertaking that has permission under Part 4A of FSMA to carry on the regulated activity of accepting deposits and is a credit institution, but is not a credit union, friendly society or a building society.

Effective: 01/01/2014

UK consolidation group

means the consolidation group of a firm to which supervision on a consolidated basis by the PRA applies.

Effective: 31/12/2025

UK designated investment firm

means a UK undertaking that is a designated investment firm.

Effective: 05/09/2014

UK firm

The changes to this defined term are effective from 23:00 on 31/12/2020. (1) has the meaning given in paragraph 10 of Schedule 3 to FSMA (EEA Passport Rights); (2) in the Depositor Protection part and Policyholder Protection part, means an authorised person who: (a) has permission given under Part 4A of FSMA to carry on regulated activities that consist of or include one or more PRA-regulated activities; and (b) is incorporated in the UK.

Effective: 31/12/2020

UK holding company

means an insurance holding company or mixed financial holding company that: (1) is incorporated in the UK; or (2) has a place of business in the UK.

Effective: 31/12/2024

UK ISPV

means an undertaking with a Part 4A permission to carry on the regulated activity of insurance risk transformation.

Effective: 08/12/2017

UK parent financial holding company

This defined term is effective from 23:00 on 31/12/2020. means a financial holding company firm in the UK which is not itself a subsidiary of an institution authorised in the UK, or of a financial holding company firm or mixed financial holding company set up in the UK.

Effective: 31/12/2020

UK parent institution

This defined term is effective from 23:00 on 31/12/2020. means a parent institution authorised in the UK which has an institution or financial institution as a subsidiary or which holds a participation in such an institution or financial institution, and which is not itself a subsidiary of another institution authorised in the UK or of a financial holding company or mixed financial holding company set up in the UK.

Effective: 31/12/2020

UK parent mixed financial holding company

This defined term is effective from 23:00 on 31/12/2020. means a mixed financial holding company in the UK which is not itself a subsidiary of an institution authorised in the UK, or of a financial holding company firm or mixed financial holding company set up in the UK.

Effective: 31/12/2020

UK parent undertaking

This defined term is effective from 23:00 on 31/12/2020. means a UK parent institution, a UK parent financial holding company or a UK parent mixed financial holding company.

Effective: 31/12/2020

UK Solvency II firm

has the meaning given in Insurance General Application 2.

Effective: 01/01/2016

UK undertaking

means an undertaking within the meaning of section 1161(1) of the Companies Act 2006 (meaning of "undertaking" and related expressions) whose registered office or, if the undertaking does not have a registered office, whose head office is in any part of the UK.

Effective: 01/01/2014

UK-adopted international accounting standards

This defined term is effective from 23:00 on 31/12/2020. has the meaning given to it in section 474(1) of the Companies

Act 2006.

Effective: 31/12/2020

unconsolidated entity

means an undertaking other than an excluded entity, including, but not limited to: (1) SSPEs (as defined in Article 4(1)(66) of the CRR); (2) asset management companies (as defined in Article 4(1)(19) of the CRR); (3) financial institutions; (4) ancillary services undertakings (as defined in Article 4(1)(18) of the CRR); (5) suppliers under material outsourcing arrangements; and (6) where the firm is a member of a consolidation group, undertakings that have been included within the scope of prudential consolidation on a proportional consolidation basis and those that have been consolidated using the equity method.

Effective: 01/01/2026

undertaking

means an undertaking within the meaning of section 1161(1) of the Companies Act 2006 (meaning of "undertaking" and related expressions).

Effective: 01/02/2014

undertaking specific parameters

means, for the purposes of determining the SCR using the standard formula, a parameter specific to a firm, calculated in accordance with Solvency Capital Requirement - Undertaking Specific Parameters, that replaces a standard parameter (within a subset of parameters in the life underwriting risk module, non-life underwriting risk module or health underwriting risk module).

Effective: 31/12/2024

underwriting member

means a person admitted to the Society as an underwriting member.

Effective: 01/01/2016

underwriting risk

means the risk of loss or of adverse change in the value of insurance obligations, due to inadequate pricing and provisioning assumptions. [Note: Art. 13(30) of the Solvency II Directive]

Effective: 30/06/2024

unit

means: (1) (in relation to a collective investment scheme) the investment, specified in article 81 of the Regulated Activities

Order (Units in a collective investment scheme) and defined in section 237(2) of FSMA (other definitions); and (2) (in relation to an alternative investment fund) the right or interest (however described) of an investor in an alternative investment fund.

Effective: 01/01/2016

United Kingdom

This term is defined externally, please refer to: Interpretation Act 1978 Schedule 1

Effective: 29/04/2014

unregulated activity

means an activity that is not a regulated activity.

Effective: 01/01/2014

USP firm

means a firm that has been granted a USP Permission.

Effective: 31/12/2024

USP method

in relation to a USP firm, means the method specified in Solvency Capital Requirement - Undertaking Specific Parameters 2.3 for calculating the undertaking specific parameter in respect of which the firm has been granted a USP Permission.

Effective: 31/12/2024

USP Permission

means the permission to apply an undertaking specific parameter granted to a firm by the PRA pursuant to section 138BA of FSMA.

Effective: 31/12/2024

volatility adjustment

means the adjustment to the relevant risk-free interest rate term structure used to calculate the best estimate in accordance with: (1) Technical Provisions 8 and Technical Provisions - Further Requirements Part; and (2) deleted the relevant technical information published by the PRA in accordance with regulation 3(1) of the IRPR regulations.

Effective: 31/12/2024

waiver

means a direction waiving or modifying a rule given by the PRA under section 138A of FSMA (Modification or waiver of rules).

Effective: 03/07/2015

with-profits fund

means the business of the firm, or a particular part of the business of the firm, in the profits of which certain with-profits policies are eligible to participate through discretionary distributions under such policies and the assets of which comprise the items set out in (1) to (6) less the outgoings in (7) and (8) (including the items and outgoings relating to both current and past business): (1) premiums and other receivables in respect of with-profits policies; (2) other receipts of the firm's with-profits insurance business, including tax receipts; (3) amounts which have been provided by the firm to facilitate the carrying on of its with-profits insurance business (other than excluded assets); (4) all income and capital receipts in respect of the items in (1) to (3); (5) assets into which the items in (1) to (4) have been converted, including assets representing investment in non-profit insurance business; and (6) premiums, receivables, other receipts, income and capital receipts from non-profit insurance business falling within (5) or otherwise written for the benefit, in whole or in part, of the firm's with-profits insurance business; outgoings: (7) outgoings in respect of the firm's with-profits insurance business permitted in accordance with any relevant provision of the FCA Handbook or any other applicable regulatory requirement and, to the extent that incoming items have been included in (6), non-profit insurance business; and (8) transfers permitted in accordance with any relevant provision of the FCA Handbook or any other applicable regulatory requirement; and, where so required by COBS 20.1A.2R of the FCA Handbook, each distinct part of a firm's with-profits fund identified in accordance with that rule shall constitute a separate with-profits fund.

Effective: 01/01/2016

with-profits insurance business

means the business of effecting contracts of insurance or carrying out contracts of insurance that are with-profits policies.

Effective: 01/01/2016

with-profits policy

means a contract of long-term insurance which provides benefits through eligibility to participate in discretionary distributions based on profits arising from the firm's business or from a particular part of the firm's business.

Effective: 01/01/2016

with-profits policy liabilities

(1) (for a UK Solvency II firm) means, in relation to a with-profits fund, the value of policies liabilities attributable to with-profits policies (excluding any liabilities relating to non-profit insurance associated with such policies) set out in, and calculated on the basis prescribed by Surplus Funds 3.3 or, if applicable, 3.4 and (in either case) having also made adequate provisions for amounts representing future policy-related liabilities; (2) (for a non-directive insurer other than a friendly society) means, in relation to a with-profits fund, the value of mathematical reserves attributable to with-profits policies (excluding any liabilities relating to non-profit insurance associated with such policies) determined in accordance

with the rules in Insurance Company - Mathematical Reserves;(3) (for a non-directive friendly society) means, in relation to a with-profits fund, the value of mathematical reserves attributable to with-profits policies (excluding any liabilities relating to non-profit insurance associated with such policies) determined in accordance with the rules in Friendly Society - Liability Valuation.

Effective: 01/01/2016

workers' compensation insurance obligation

means a health insurance obligation which arises only from accidents at work, industrial injury and occupational disease.

Effective: 31/12/2024

workers' compensation reinsurance obligation

means a reinsurance obligation which arises from accepted reinsurance covering workers' compensation insurance obligations.

Effective: 31/12/2024

working day

means any day other than Saturday, Sunday, Good Friday, Christmas Day and any day which is a bank holiday in any part of the UK under section 1 of the Banking and Financial Dealings Act 1971.

Effective: 01/01/2016

write-down manager

has the meaning given to the term 'the manager' in 377G(1) of FSMA (The manager).

Effective: 19/09/2023

write-down order

has the meaning given in section 377A(1) of FSMA (Write-down orders).

Effective: 19/09/2023

zillmerising

means a method for modifying the net premium reserve method of valuing a contract of long-term insurance by increasing the part of the future premiums for which credit is taken so as to allow for initial expenses.

Effective: 01/01/2016